

EM & APAC Equity Strategy

Zooming in: China - growth, breadth and diversification at a discount

Equity Strategy

Global

While the market is busy with AI trade elsewhere, China offers growth, breadth and diversification

2026 has been a tough year for MSCI China - especially in light of fantastic performance by Korea and Taiwan led by AI themes. However, we remain overweight China into year end because: **1)** China EPS growth outlook is one the strongest across EM outside Korea/Taiwan ([Figure 21](#)). China growth is also quite broadbased today: Nearly half the stocks in MSCI China (and c40% by weight) are expected to deliver **EPS CAGR of 20%+** in the next 2 years (a stock screen is in [Figure 87](#)) - and they account for more than half of the entire EM universe of such fast growing stocks ([Figure 23](#)). In other words - a portfolio seeking growth in EM or Asia today cannot go light on China. **2)** While the rest of EM is becoming an extension of the US-centric AI theme, China offers cleanest diversification among the large/liquid markets ([Figure 25](#)). Themes include China's own AI ecosystem, export/going global, energy transition etc. **3)** As we have shown in the past (and in this note), China macro seldom impacts corporate fundamentals and EPS, but mainly influences equities through the valuation channel. The level of mispricing of China vs rest of EM is approaching levels last seen in Sep-2024 ([Figure 29](#))- just before the sharp 15 month rally took off. We remain positive on the global AI theme, but prefer Korea and China over Taiwan. [Korea](#) offers the strongest leverage to the US-centric AI buildout - and is our highest conviction market in our universe. China provides an AI story driven by a different ecosystem, plus other nonAI drivers.

The largest China AI plays look under appreciated

China's AI ecosystem offers a vibrant way to play the AI theme outside the US-centric AI universe. So far the market has been focusing on the AI model developers and tech (hardware+semis) stocks. The China hyperscalers themselves have been valued more for their consumer businesses (with accompanying concerns) than for their AI upside. Our China internet team describes how almost no AI value is being ascribed to the some of these stocks (listen [here](#)). Even in their core business, they appear to be [past the peak](#) competition phase. Indeed, these large internet stocks are among the set of stocks with 20%+ EPS CAGR outlook we highlighted earlier (with the notable exception of Tencent - where flat earnings are expected). While big China IPOs and capital raises are making headlines in China, we note that the aggregate level of capital raise activity is very well behaved in historical context ([Figure 33](#) and [Figure 36](#)). Of course it doesn't help the H share market that the fund raising activity is heavily loaded in the Hong Kong market vs onshore. Overall, we note that China has remained an underweight for at least 8-9 years for global and EM funds we track. On HOLT CFROI, MSCI China is no different from rest of EM, but is now trading at a deep discount ([Figure 20](#)).

Identifying the attractive parts of China market

The stocks across our China coverage that our China strategy team likes are given in [Figure 7](#). With the MSCI China index heavily anchored to the H share market (80%+ by weight), the 2026 weakness in Hong Kong has weighed on the overall index. The A share market has none of the issues with H share discussed above, with stocks displaying improving growth ([Figure 46](#)) and return ([Figure 45](#)) fundamentals. In our index weighted method, A share premium to H share is nearing decade-high levels, well backed by superior growth and ROE outlook. Elsewhere - we also look at exporter stocks in China (about 20% of the index - spread across both H and A share markets). They are benefitting from the growing share of China in global exports, with many of these export businesses more profitable than the domestic market (and indeed have seen a big uplift in their ROIC levels post COVID - [Figure 56](#)).

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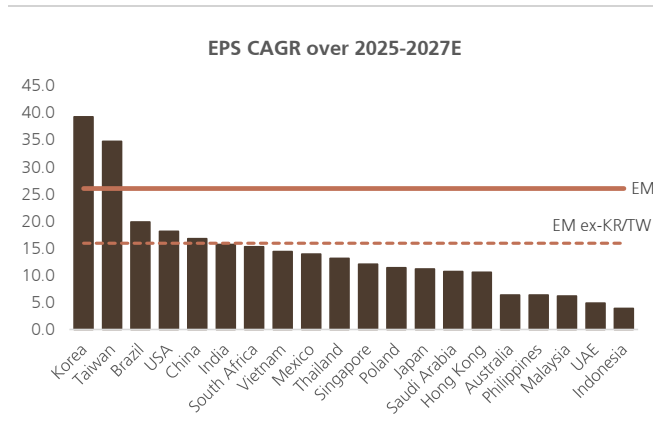
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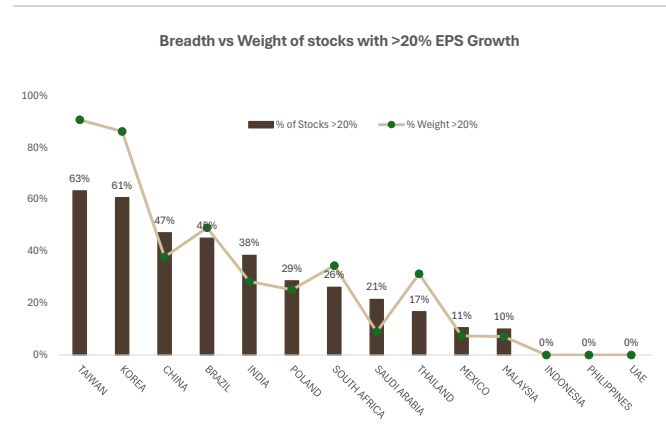
Story in brief

Figure 1: After Korea and Taiwan, China offers one of the strongest forward EPS growth outlooks



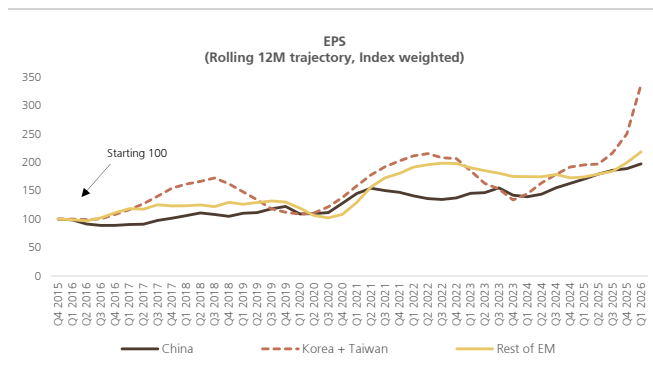
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#)).

Figure 2: It is also a broad based growth market today with 47% of MSCI China stocks giving 20%+ EPS CAGR. More than half such stocks in EM are from China today



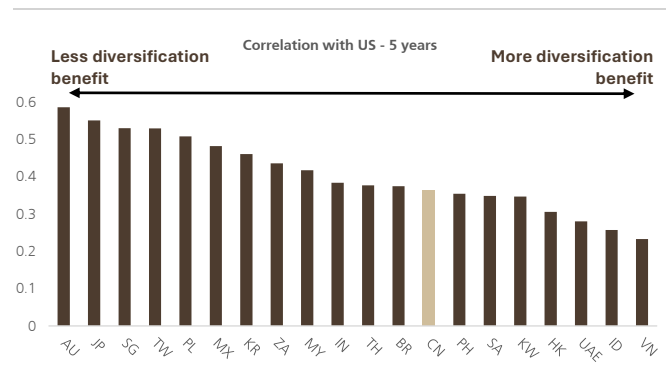
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#)).

Figure 3: Macro cycles have had little impact on MSCI China fundamentals historically. We see no big difference between China's delivered growth and rest of EM



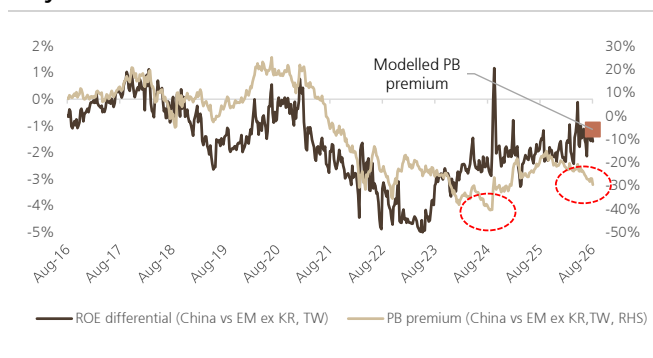
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#)).

Figure 4: Among the larger EM/APAC markets - China offers the best diversification away from the US.



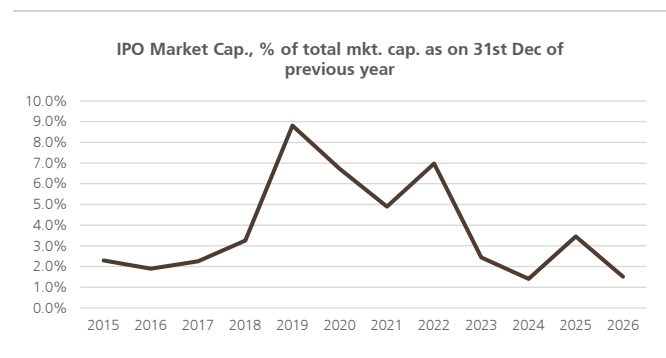
Source: MSCI, Datastream, UBS

Figure 5: China's discount has reached extreme deviation from what is warranted by ROE (implying 30% upside today). This level was last seen in Sep-2024 before market rally



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#)).

Figure 6: Despite heavy headline IPO newsflow, 2026 could be one of the smallest IPO years in a decade compared to size of market



Source: Bloomberg, UBS

Figure 7: UBS China strategy team's preferred stocks (See [report](#))

Stock Code	Company name	Lead analyst	UBS rating	Mcap (USDmn)	Price	Price target	Upside	FY26 P/E	UBSe FY26 EPS growth	UBSe vs consensus FY26 earnings	Forward div yield
0700.HK	Tencent Holdings	Kenneth Fong	Buy	527,493	455.20	770.00	69%	13.3	0%	-1%	1%
0939.HK	China Construction Bank	May Yan	Buy	291,470	9.14	10.20	12%	6.3	0%	-4%	5%
BABA.N	Alibaba Group	Kenneth Fong	Buy	275,967	118.90	206.00	73%	17.0	-26%	-8%	1%
300750.SZ	Contemporary Amperex Technology	Paul Gong	Buy	250,230	368.50	600.00	63%	17.0	42%	10%	3%
0883.HK	China National Offshore Oil Corporation	Amily Guo	Buy	154,351	25.44	33.60	32%	6.2	38%	3%	7%
2899.HK	Zijin Mining Group - H	Sharon Ding	Buy	129,771	38.28	57.80	51%	10.5	64%	5%	3%
1211.HK	BYD Company Limited	Paul Gong	Buy	106,931	91.95	135.00	47%	18.3	23%	0%	1%
002371.SZ	NAURA Technology Group	Jimmy Yu	Buy	75,314	697.51	800.00	15%	75.7	23%	10%	0%
2259.HK	Zijin Gold International	Sharon Ding	Buy	53,953	161.20	203.00	26%	18.1	89%	-7%	1%
600183.SS	Shengyi Technology	Jimmy Yu	Buy	52,642	145.65	192.00	32%	39.4	130%	12%	2%
JD.O	JD	Sara Wang	Buy	40,911	28.74	48.00	67%	44.4	79%	15%	0%
9888.HK	Baidu	Wei Xiong	Buy	33,586	95.75	155.00	62%	16.6	-53%	-18%	2%
600919.SS	Bank of Jiangsu	Helen Li, CFA	Buy	32,875	12.04	14.00	16%	6.3	10%	-5%	5%
600584.SS	JCET Group	Jimmy Yu	Buy	19,950	74.93	135.00	80%	49.1	72%	24%	0%
3606.HK	Fuyao Glass	Nora Min	Buy	18,392	55.25	85.00	54%	12.3	13%	7%	5%
3908.HK	China International Capital - H	Dennis Bai	Buy	14,087	22.88	31.40	37%	6.4	39%	6%	2%
002532.SZ	Tianshan Aluminum Group	Sharon Ding	Buy	9,070	13.17	18.10	37%	7.1	72%	-7%	8%
002850.SZ	Shenzhen Kedali Industry	Nora Min	Buy	7,253	177.30	268.00	51%	20.5	40%	7%	2%

Source: Datastream, UBS. Note: data as on 31st August 2026

Zooming in: China - growth, breadth and diversification

Figure 8: UBS EM & Asia market ratings

Markets		
Overweight	Neutral	Underweight
Korea	Taiwan	Australia*
China**	South Africa	India
Brazil	Singapore*	Hong Kong*
UAE	Saudi Arabia	Mexico
Malaysia	Poland	Indonesia
Vietnam*	Thailand	Philippines

Source: UBS. * HK and Singapore markets are not part of MSCI EM but part of MSCI Axl.
**China includes all ADRs, H-share and A-share stocks in MSCI China.

Figure 9: EM vs DM total returns

	2024	2025	YTD 2026	1Q26	2Q26	3QTD 26
EM	8.1%	34.4%	24.6%	-0.1%	24.1%	0.4%
US	25.1%	17.7%	13.4%	-4.5%	5.3%	3.0%
Other DM	5.3%	32.5%	14.8%	-0.8%	10.5%	4.8%
China	19.7%	31.4%	-7.5%	-8.9%	-6.6%	8.8%

Source: MSCI, Datastream, UBS

A soft 2026 YTD for China after strong 2024 and 2025.

Figure 10: China sectors performance

	2024	2025	YTD 2026	1Q26	2Q26	3QTD 26
China	19.7%	31.4%	-7.5%	-8.9%	-6.6%	8.8%
Med/Ent	27.4%	45.5%	-24.4%	-20.8%	-7.0%	2.6%
Retailing	-1.0%	48.8%	-19.2%	-14.7%	-20.3%	18.9%
Banks	48.1%	27.9%	15.3%	4.6%	-4.4%	15.3%
Tech_Hw/Eqp	59.0%	23.9%	6.1%	-12.3%	28.6%	-5.8%
Materials	7.2%	120.1%	0.6%	-1.1%	-17.0%	22.6%
Pharma/BioT	-20.1%	59.6%	22.3%	2.3%	-7.2%	28.8%
Insur	46.9%	58.1%	-5.3%	-11.1%	-5.4%	12.5%
Cons_Svcs	54.3%	-14.6%	-22.3%	-16.9%	-17.7%	13.6%
Auto/Comp	5.4%	9.6%	-15.8%	1.4%	-24.8%	10.3%
Cap_Gd	24.3%	31.4%	3.1%	4.8%	3.4%	-4.8%
Energy	21.8%	24.0%	23.7%	19.9%	-14.0%	20.0%
Semicon/Eqp	3.2%	49.4%	33.9%	-3.0%	99.1%	30.7%
Food/Bev/Tbc	-6.8%	2.7%	-7.4%	-1.2%	-14.8%	10.0%
Div_Fin	39.2%	17.0%	-4.2%	-16.2%	10.6%	13.4%
Util	18.7%	5.4%	-0.7%	0.9%	-11.3%	10.9%
Cons_Dur/Apprl	2.7%	5.1%	-10.1%	-7.7%	-9.7%	7.8%
Real_Estate	-7.4%	4.7%	10.6%	-4.0%	-0.2%	15.6%
Transp	17.1%	13.4%	2.4%	3.1%	-10.3%	10.6%
S/w_Svcs	-12.5%	28.2%	-30.8%	-19.3%	-23.9%	12.6%
Health_Eqp_svc	-12.9%	-5.8%	-16.0%	-8.3%	-15.4%	8.3%
Food/Stp_Retl	-27.8%	74.6%	-34.2%	-13.6%	-31.2%	10.9%
Comm/prf_serv	11.6%	7.0%	-13.2%	-32.7%	-5.2%	36.0%
Telcom_svc	40.2%	6.9%	-17.5%	-8.9%	-13.4%	14.6%
HH/Persnl_Prod	-1.8%	-6.2%	-17.4%	-8.7%	-11.0%	1.8%

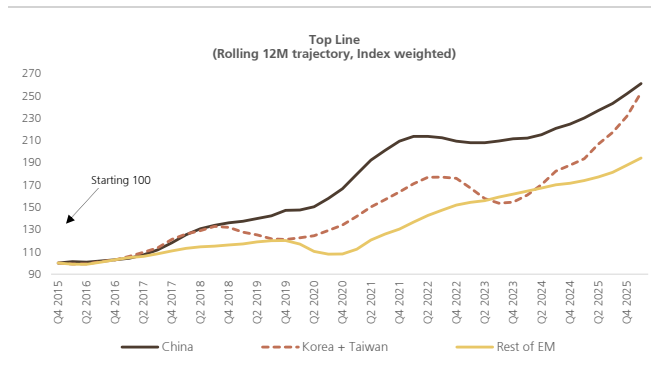
Source: MSCI, Datastream, UBS

Tech (Semis), Pharma/biotech and energy have been stronger performing sectors YTD. Internet (across media/entertainment and retailing) have been particularly weak this year

China: Corporate fundamental trajectory belies weak macro trends

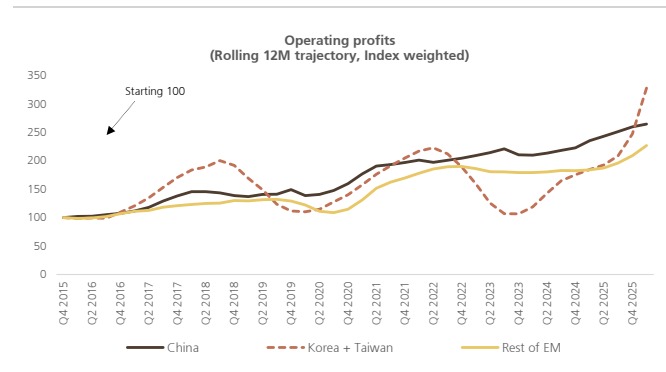
All these charts below control for index composition changes by reconstituting history with current index weights

Figure 11: Top-line trajectory - MSCI China has generally seen stronger growth than other parts of EM. Korea and Taiwan are catching up now on AI upcycle.



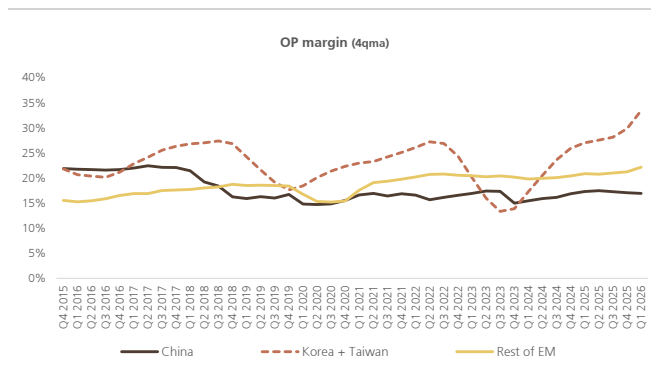
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 12: OP trajectory - has grown slightly faster than other parts of EM. In particular the post-COVID market meltdown did not see deterioration in profit trajectory for MSCI China companies



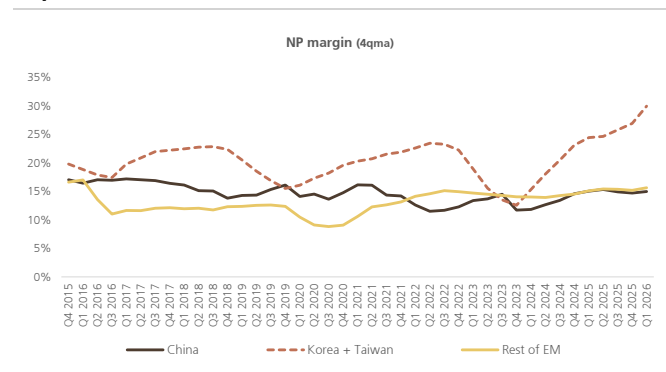
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 13: Operating margins: China stocks lost margins in the 2016 - 2018 period -with stable margins thereafter.



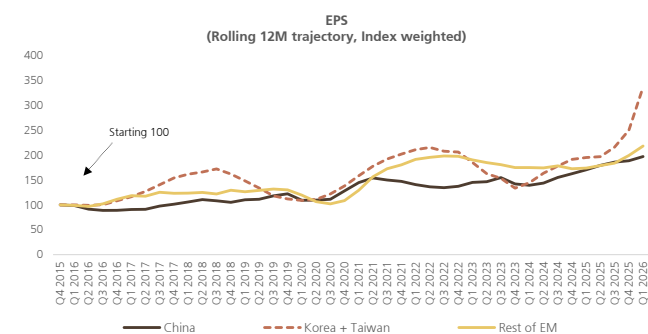
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 14: Overall net profit margins have remained stable for China (while other parts of EM have seen some improvement)



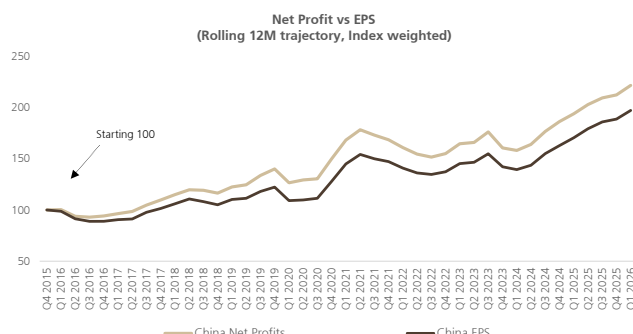
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 15: EPS trajectory for China not very different from rest of EM - at c7% 10 year CAGR



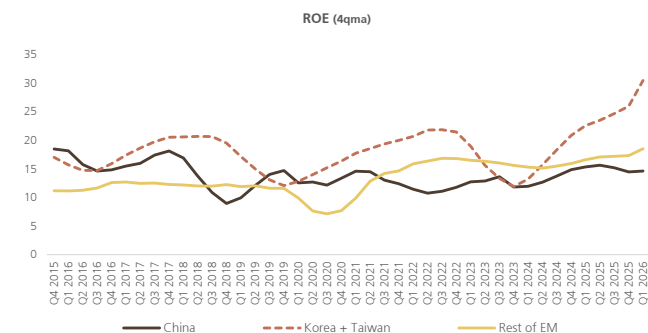
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 16: The effect of dilution: China EPS growth has lagged profit growth by c1.1% CAGR over the last 10 years. This is in line with the dilution in other parts of EM (except Taiwan). This could be changing (see [Figure 32](#))



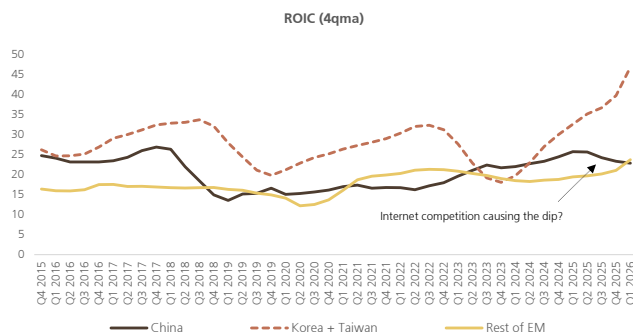
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 17: After the dip in 2016-2018 period, China ROE has been largely stable.



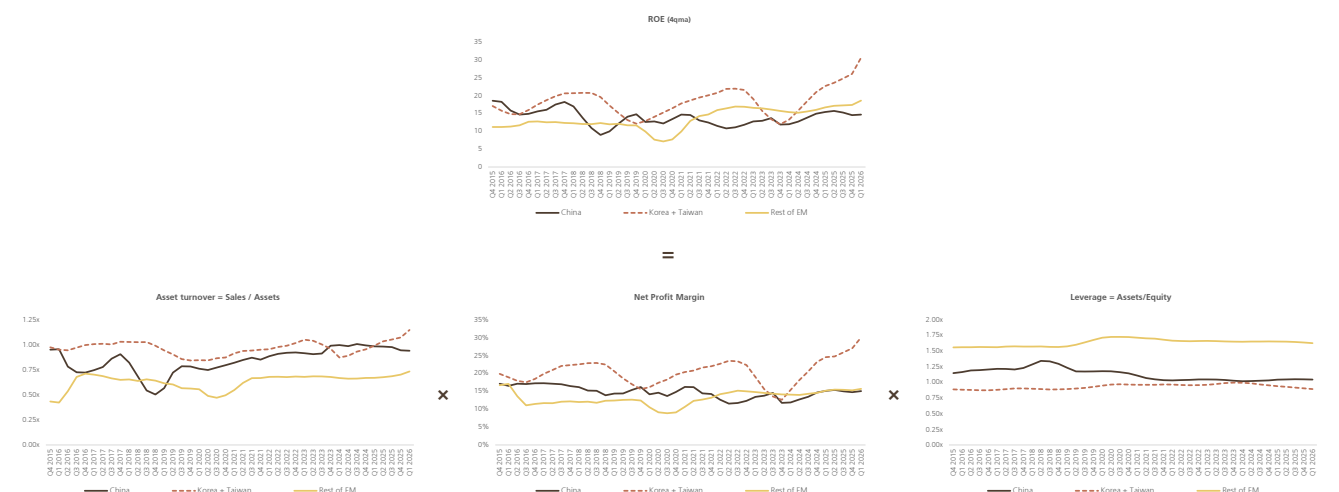
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 18: China ROIC had been rising steadily since 2018. Hard to conclude China companies are of 'lower' quality



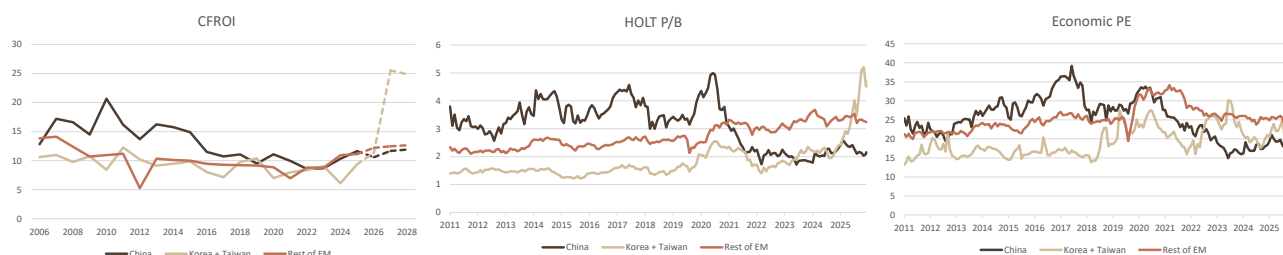
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 19: MSCI China's ROE delivery is through a superior mix of higher asset turnover and lower leverage - compared to the rest of EM. It misses out on the higher margins made by Taiwan and Korea



Source: IBES, MSCI, Datastream, UBS. Note: Historical time series have been reconstituted with current MSCI index composition. Calculated on the basis of index weighted methodology ([video link](#)).

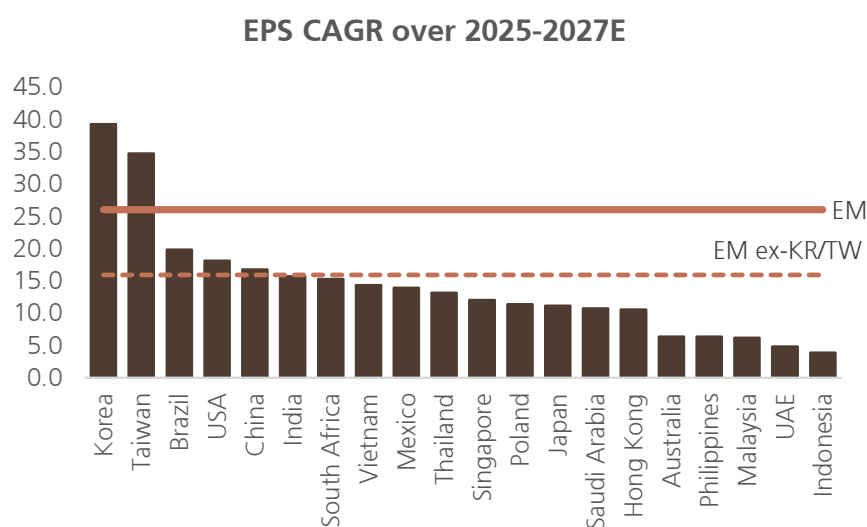
Figure 20: HOLT: China missing out on the CFROI surge seen in Korea and Taiwan - but largely in line with other parts of EM (the rise in CFROI in forecast period for rest of EM is essentially South Africa mining sector). However, China discount on valuation has been widening



Source: UBS HOLT. Note: calculated on the basis of index weighted methodology. ([video link](#))

Strong, broad-based EPS growth expected; valuations at discount

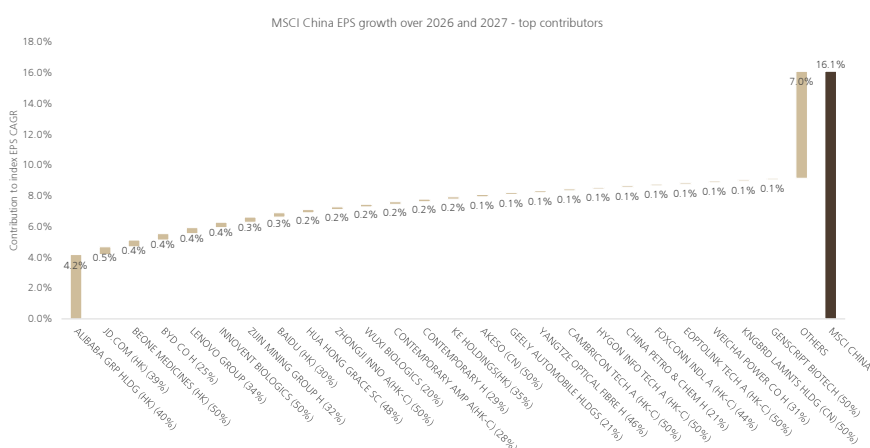
Figure 21: Where is EPS growth expected in the next 2 years?



The chart shows expected EPS growth over 2026 & 2027 (consensus). Not surprisingly, Korea and Taiwan top the chart. China's growth is expected ahead of other EMs.

Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#)).

Figure 22: Which stocks are driving China EPS growth strength.

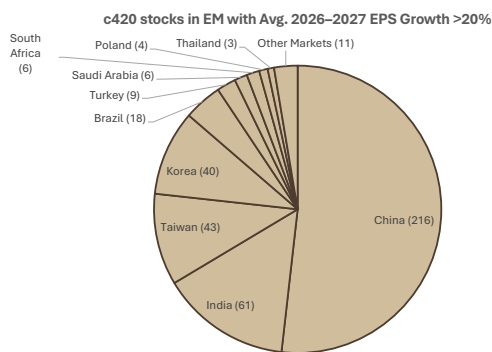


About half of the stocks in MSCI China (with a combined c40% weight in index) are expected to show 20%+ CAGR over 2026 and 2027 (consensus, index weighted average). That's more than rest of EM growth (ex- TSMC/Samsung/SK Hynix). The chart here pulls out the larger contributors to index growth.

The numbers in brackets next to stock names are the expected 2 year growth CAGR for individual stocks.

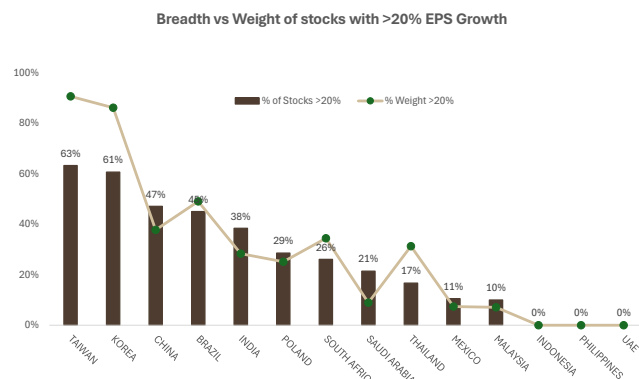
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#)).

Figure 23: c420 stocks across MSCI EM today have 20%+ expected EPS CAGR over 2026-2027 (consensus). China accounts for over half those stocks



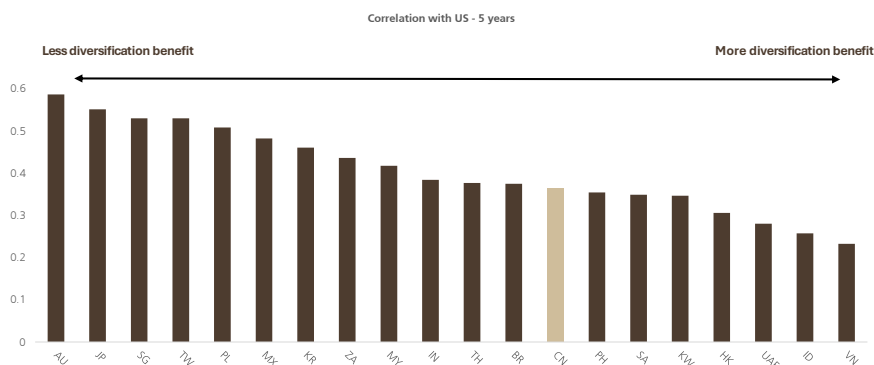
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#))

Figure 24: After Korea and Taiwan - China has the broadest spread of stocks with high (20%+) growth outlook.



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#))

Figure 25: Among the larger EM/APAC markets - China offers the best diversification away from the US. It is not part of the big global AI trade, yet has other growth drivers in place



Source: MSCI, Datastream, UBS

Figure 26: China has gone from a PE premium (vs other EMs) to a discount post COVID.



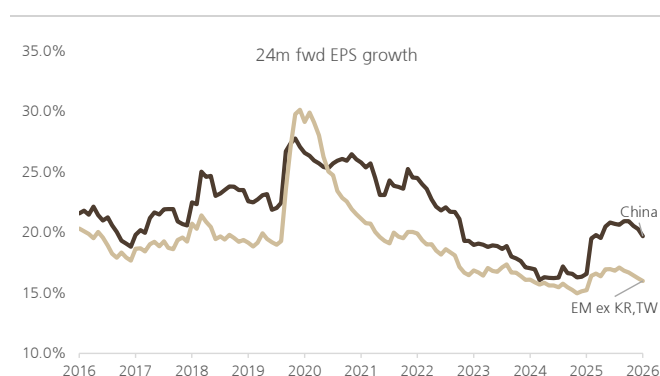
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#))

Figure 27: A deep discount on PB too



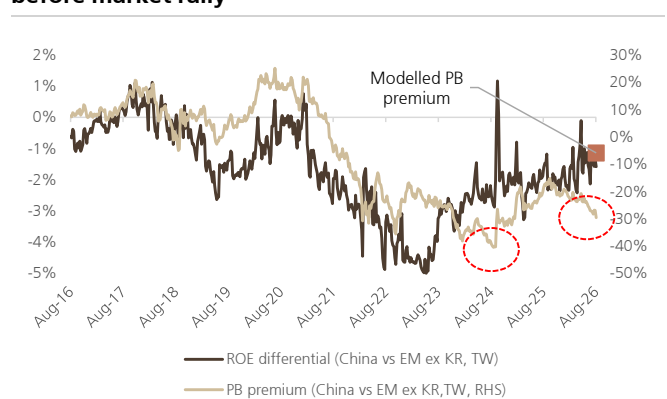
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#))

Figure 28: China forward EPS growth outlook (This is 24M fwd EPS growth over 12M fwd EPS)



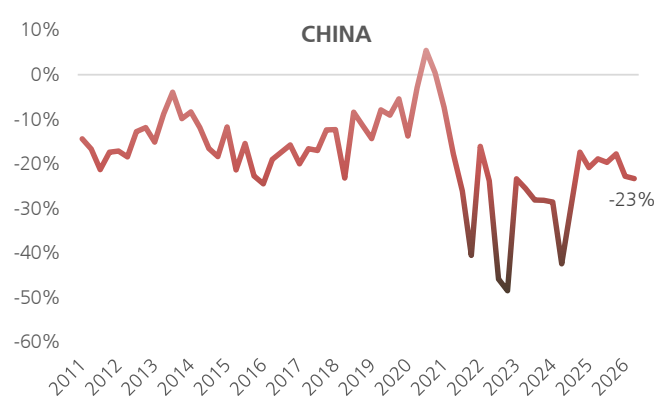
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#))

Figure 29: PB-ROE model: China's discount has reached extreme deviation from what is warranted by ROE (implying 30% upside). This level was last seen in Sep-2024 before market rally



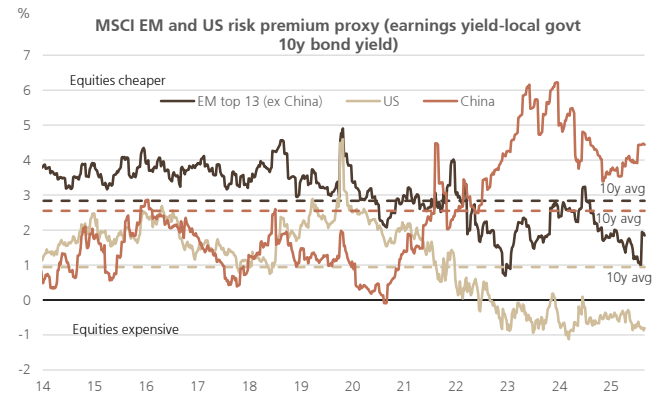
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#))

Figure 30: Perception discount for China is inline with history. An average EM stock that is listed in China gets a 23% discount today



Source: IBES, MSCI, Datastream, UBS. Note: UBS market perception premia explained in this [video](#).

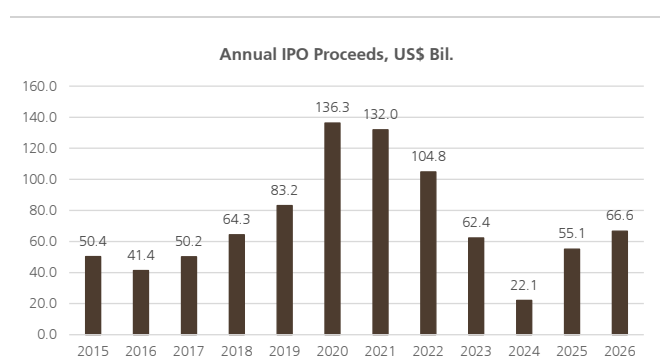
Figure 31: While the US and other EMs have seen Equities re-rate vs bonds, China has moved in the opposite direction post COVID, and again in the last 12 months



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

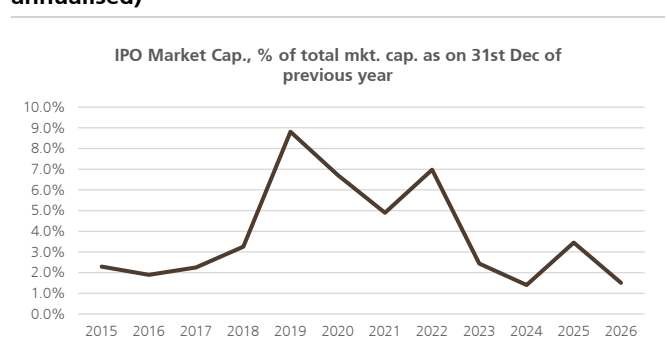
While big IPOs are grabbing headlines - Capital discipline is visibly better than history

Figure 32: 2026 IPO proceeds (annualised for comparison) are well below 2019-2022 period



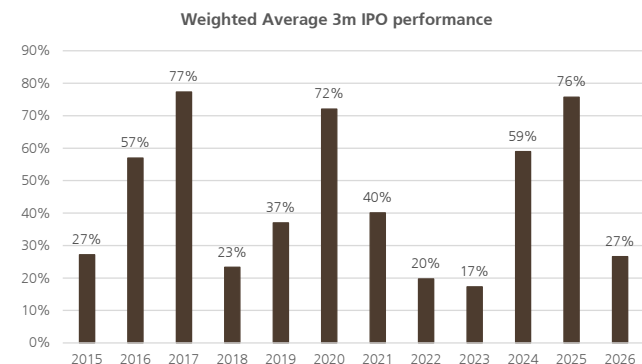
Source: Bloomberg, UBS

Figure 33: When seen in context of market cap - 2026 could be one of the smallest IPO years in a decade (2026 numbers annualised)



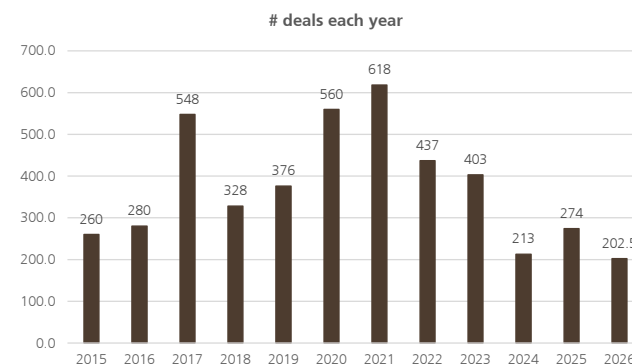
Source: Bloomberg, UBS

Figure 34: The average IPO has given 27% returns in 3 months - worse than 2025 but not bad in historical context.



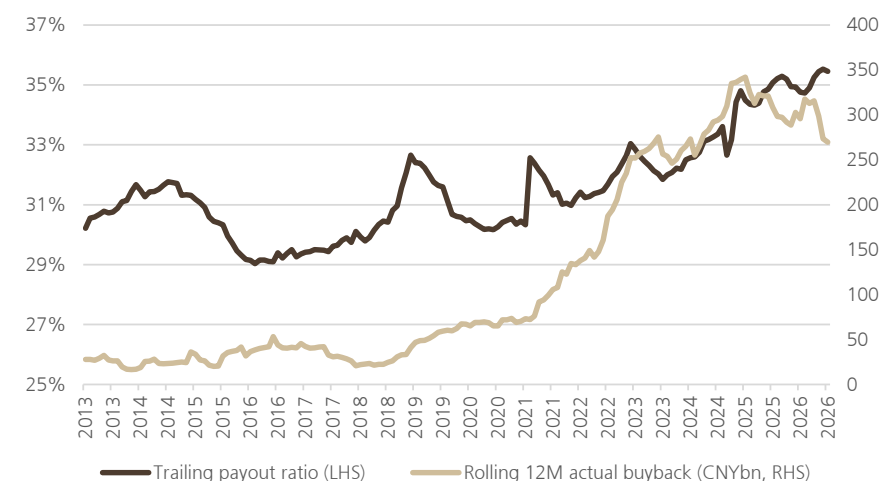
Source: Bloomberg, UBS

Figure 35: # of IPO deals each year for China (2026 is annualised)



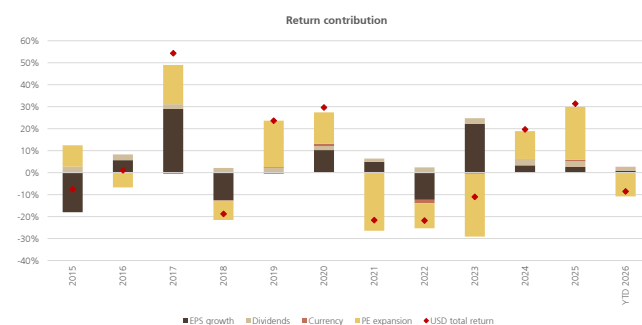
Source: Bloomberg, UBS

Figure 36: Growing evidence of capital returns to shareholders



Source: Factset, Bloomberg, UBS

Figure 37: MSCI China long term returns are victim of wild valuation swings - we believe this is where macro plays a role rather than fundamentals



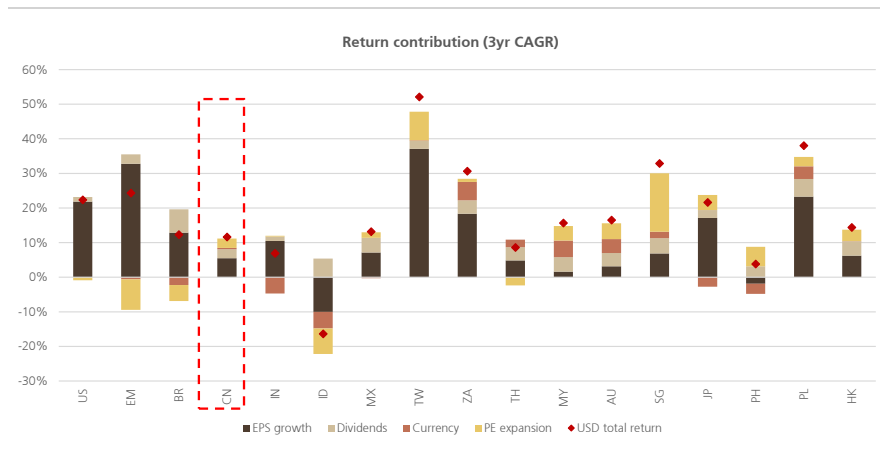
Source: MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 38: Delivered EPS growth for MSCI China (when measured on index weighted basis) is a lot more stable than street expectations at start of the year



Source: MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

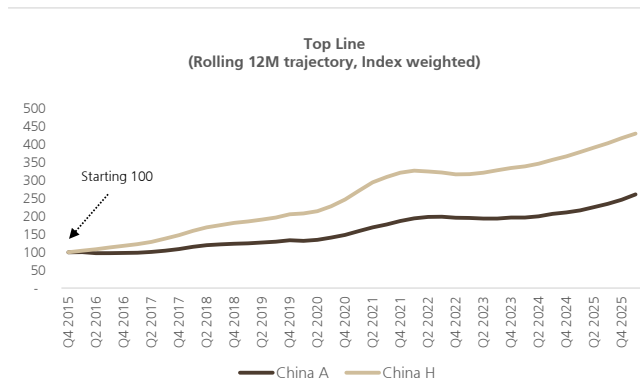
Figure 39: Nearly 70% of MSCI China c12% CAGR returns over the last 3 years have been driven by fundamentals (EPS growth + dividend payouts)



Source: MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

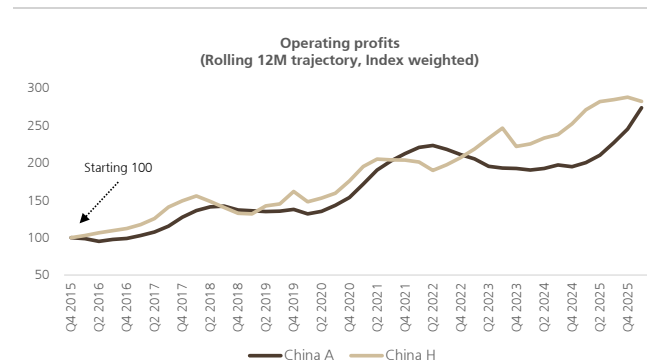
A-share stocks showing strong EPS growth momentum vs H shares

Figure 40: Top-line trajectory - H share stocks have historically grown faster than A share



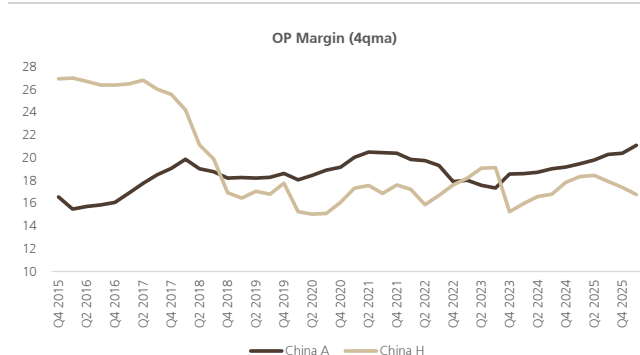
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 41: Operating Profit trajectory - H share struggling to grow last few quarters while A share profits are surging. Over long term not much to choose between the two



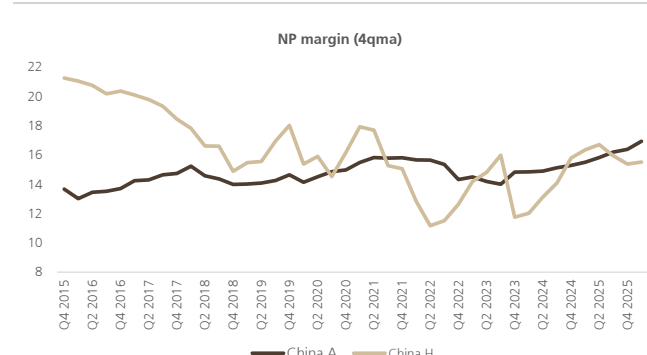
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 42: OP margins - weaker margins for H share stocks while A share companies seeing steady improvement



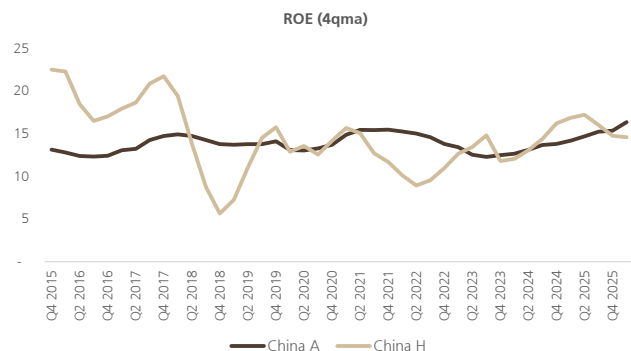
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 43: Net margins - dip in H share probably linked to competition in internet space



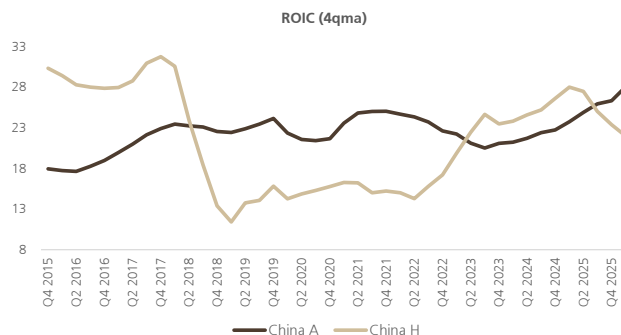
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 44: ROE - A share is more stable while at similar level to H share



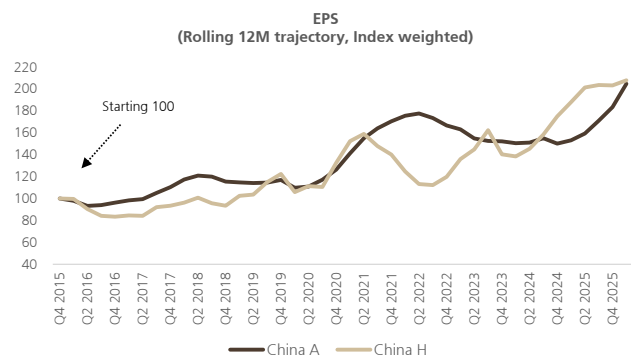
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 45: ROIC - diverging trend recent quarters with A share showing improvement



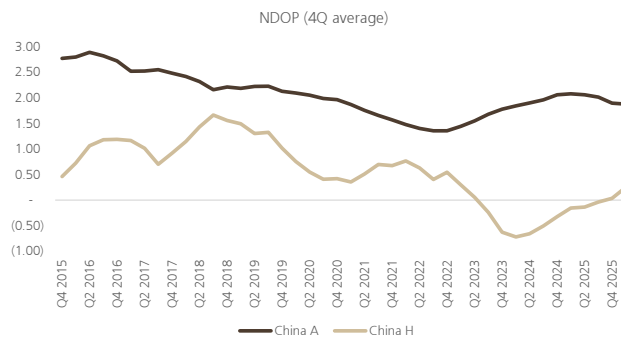
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 46: EPS trajectory - Sharp rise in last few quarters in A share EPS



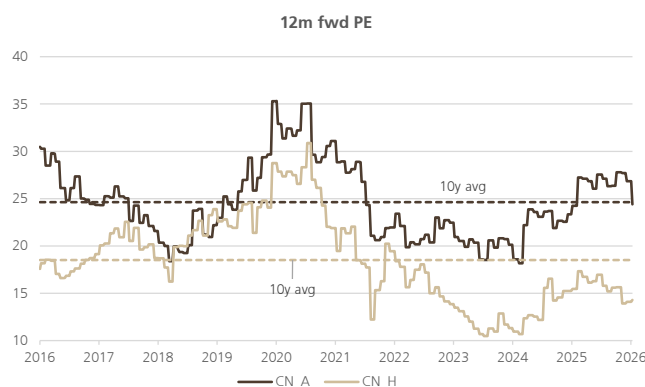
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 47: Leverage- H share stocks are generally light on leverage given their business models



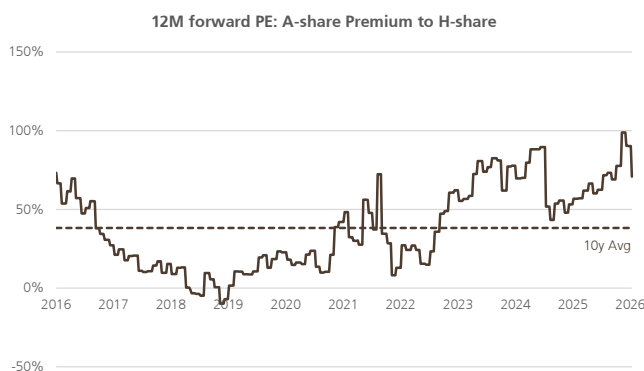
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).. Non-financial stocks only

Figure 48: H share market has seen marked derating post COVID, while A share stocks have held on to their valuations



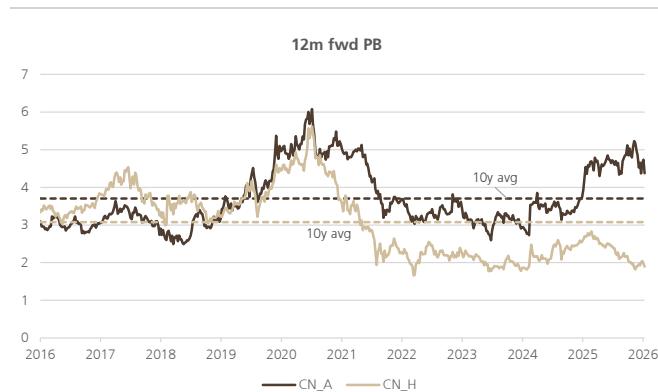
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#))

Figure 49: A share premium to H share is well above 10 year average.



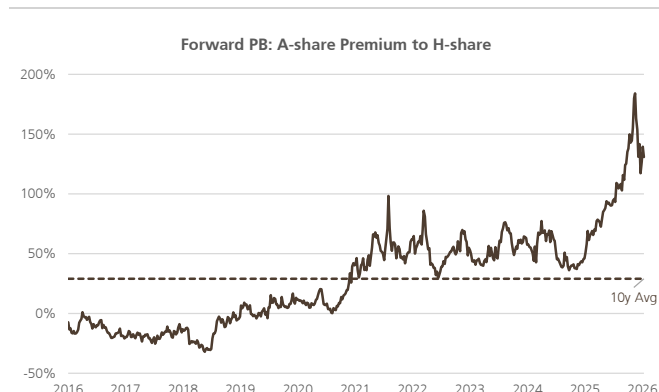
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#))

Figure 50: on PB - H share valuations were similar to A-share pre-COVID. But have fallen off since then



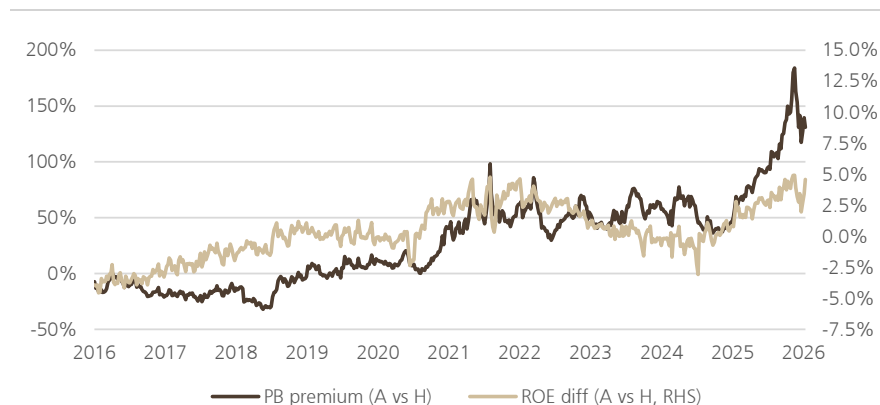
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#))

Figure 51: A shares at 100%+ premium to H share



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#))

Figure 52: A share valuation premium has been supported by improving relative ROE vs H share

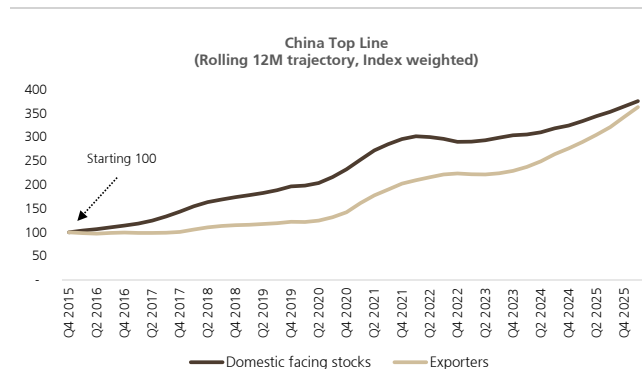


Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#))

Exporter stocks showing growth momentum and improving returns

China's widening current account surplus even in face of rising trade barriers demonstrates the capability of exporting companies as well as their growing international focus in our view. We identify stocks in MSCI China with at least 25% topline coming from outside China - they form c20% of the MSCI China index by weight.

Figure 53: Exporting stocks seeing a surge in topline - in-line with China's surging exports



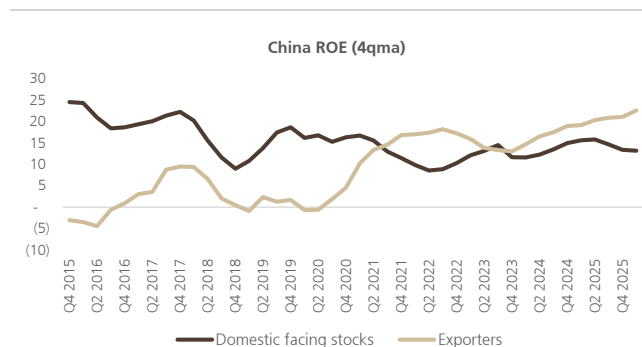
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)). Excludes financials stocks from calculation.

Figure 54: Exporting stocks EPS breaking away into strong growth trajectory



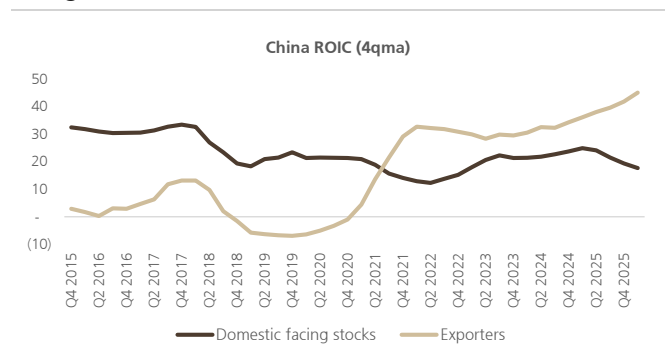
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)). Excludes financials stocks from calculation.

Figure 55: Steady expansion in ROEs for exporting stocks while domestic stocks stay flat



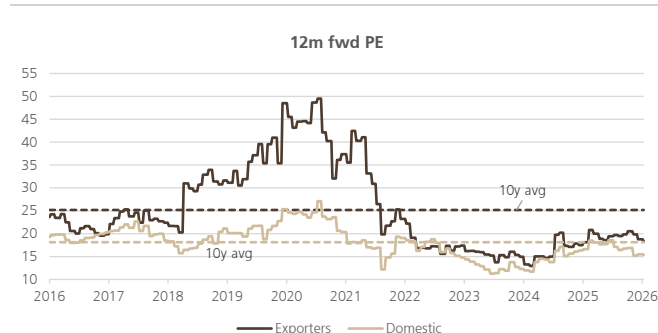
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 56: Superior ROIC reflective of attractive overseas exposure stocks. COVID appears to have triggered a sea change



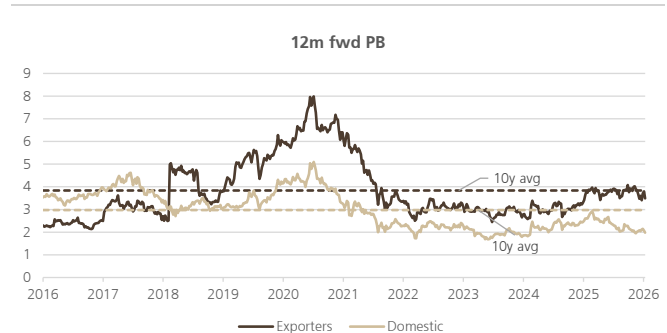
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)). Excludes financials stocks from calculation.

Figure 57: Export stocks trade at 20% premium to domestic stocks today - a far smaller premium than 2018-2022 period



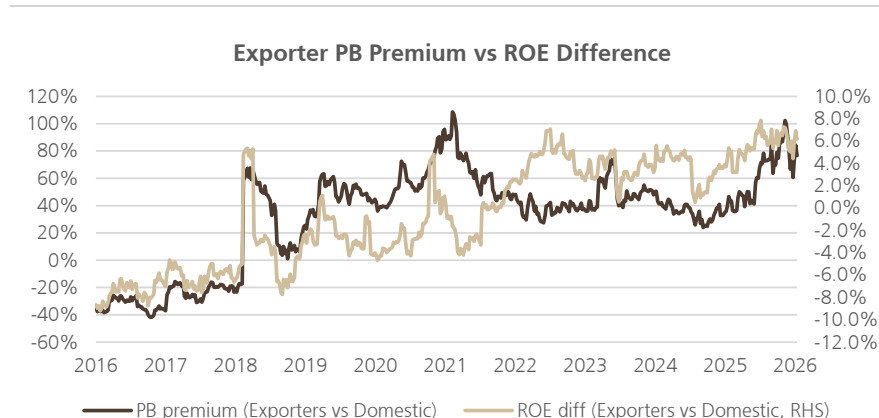
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 58: 75%+ premium on PB. However...



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

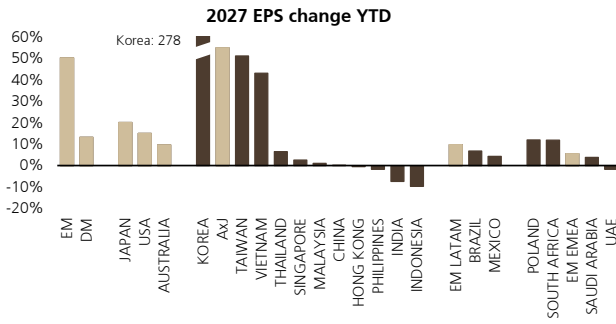
Figure 59: ... the rising premium for exporters is backed by ROE expansion faster than domestic stocks.



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

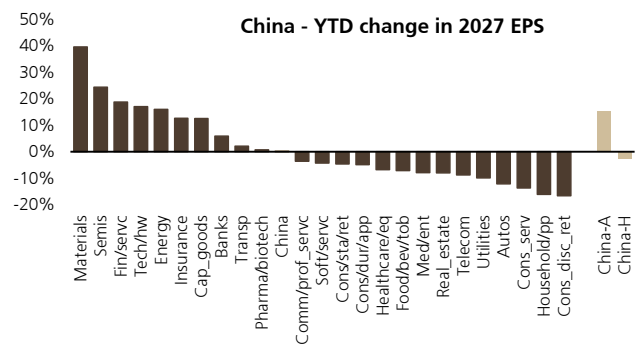
MSCI China earnings estimates have remained steady this year

Figure 60: On a YTD basis - China has seen stable earnings



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

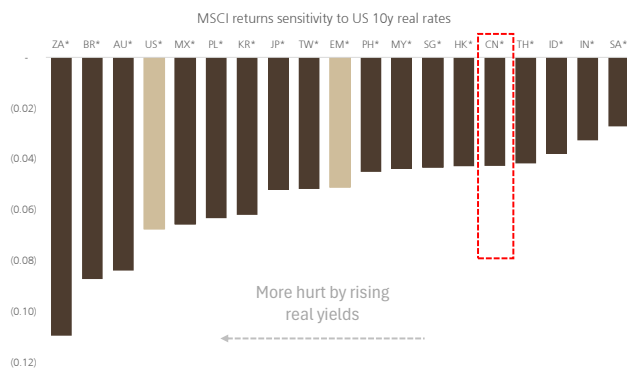
Figure 61: China sectoral consensus 2027 YTD EPS change



Source: IBES, MSCI, Datastream, Note: calculated on the basis of index weighted methodology ([video link](#)).

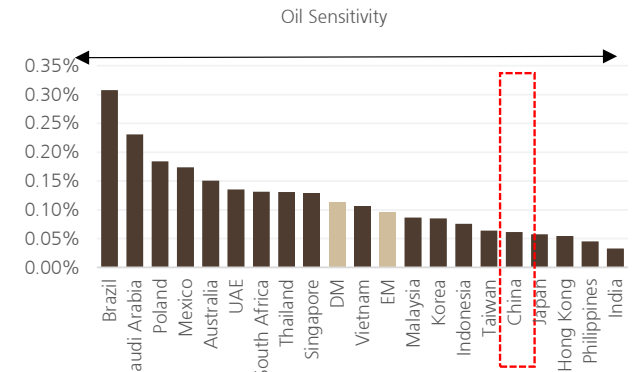
Sensitivity to macro variables - Less sensitive to global risks

Figure 62: Sensitivity of market returns to US 10y real rate movements (post-COVID): China among the least sensitive Asian markets



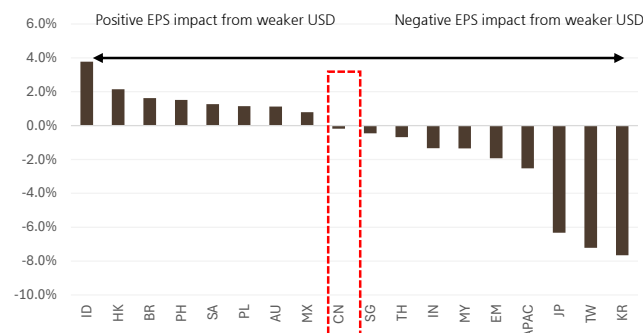
Source: IBES, MSCI, Datastream, UBS. Note: An asterisk (*) denotes statistically significant relationship at p-value 5% level.

Figure 63: Oil prices' impact on market returns: China market performs better in low/falling oil price environment



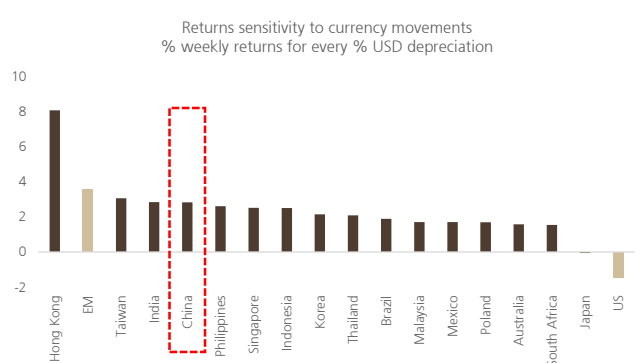
Source: IBES, MSCI, Datastream, UBS

Figure 64: EPS Sensitivity to USD: MSCI China EPS is generally insensitive to USD movements



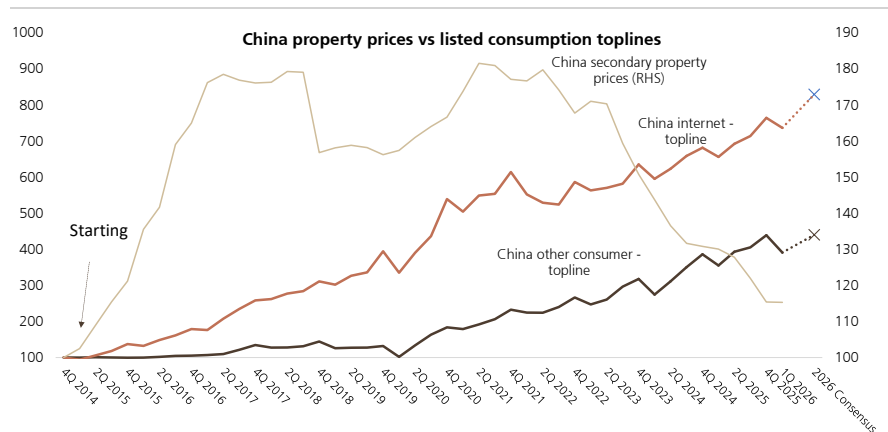
Source: IBES, MSCI, Datastream, UBS

Figure 65: Equity returns sensitivity to USD: the impact on stock prices is usually more benign (as for other markets - see [report](#))



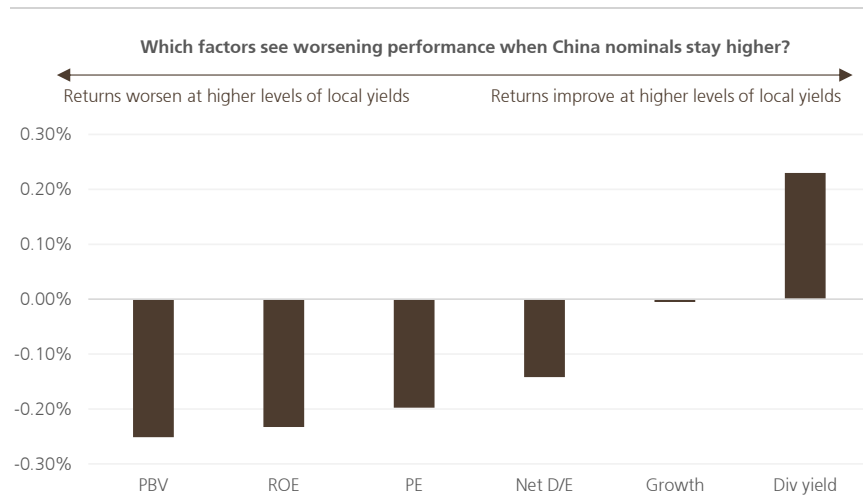
Source: IBES, MSCI, Datastream, UBS

Figure 66: China's property price decline has had a limited impact on listed consumption. Property prices themselves may be stabilising after four years of sharp correction



Source: Wind, IBES, MSCI, Datastream, UBS

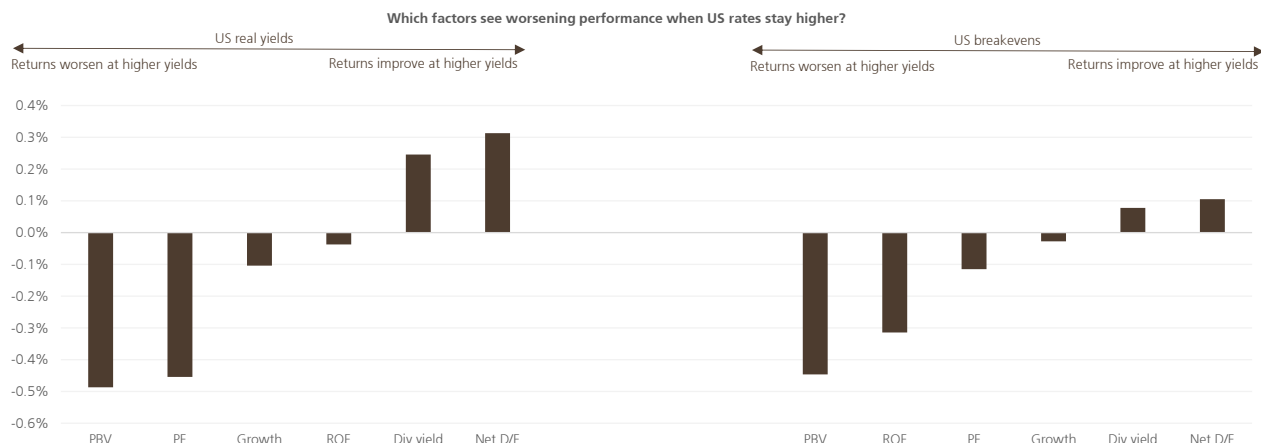
Figure 67: Which factors in China are sensitive to local bond yields?



Source: MSCI, Datastream, UBS. Note: The various style factors are to be read as follows: 1) PE = long high P/E stocks and short low P/E stocks, 2) PBV = long high PBV stocks and short low PBV stocks, 3) Growth = long high EPS growth stocks and short low EPS growth stocks, 4) Net D/E = long high Debt/Equity and short low Debt/Equity stocks, 5) ROE = long high ROE stocks and short low ROE stocks, and 6) Div yield = long high div yield stocks and short low div yield stocks. In all these factors, 'High' refers to stocks in the top tertile (top 1/3) within each market/ country, and 'Low' refers to stocks in the bottom tertile. The actual portfolio returns are calculated as median returns across all stocks in the portfolio.

When local yields go up, value stocks measured through lower P/B or higher Dividend Yield tend to do better. Surprisingly, unlike other markets, higher growth stocks are not sensitive (do not underperform). Leverage matters a little bit too - with leveraged stocks tending to underperform.

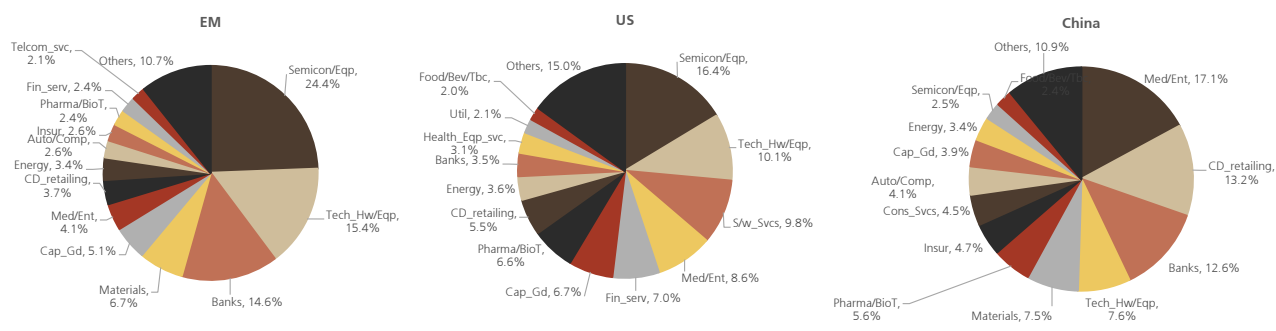
Figure 68: China factor sensitivity to US yield movements - we would focus on the real yields sensitivity on the left chart as that's been the bigger driver of US rates movements this year.



Source: MSCI, Datastream, UBS. Note: The various style factors are to be read as follows: 1) PE = long high P/E stocks and short low PE stocks, 2) PBV = long high PBV stocks and short low PBV stocks, 3) Growth = long high EPS growth stocks and short low EPS growth stocks, 4) Net D/E = long high Debt/Equity and short low Debt/Equity stocks, 5) ROE = long high ROE stocks and short low ROE stocks, and 6) Div yield = long high div yield stocks and short low div yield stocks. In all these factors, 'High' refers to stocks in the top tertile (top 1/3) within each market/country, and 'Low' refers to stocks in the bottom tertile. The actual portfolio returns are calculated as median returns across all stocks in the portfolio

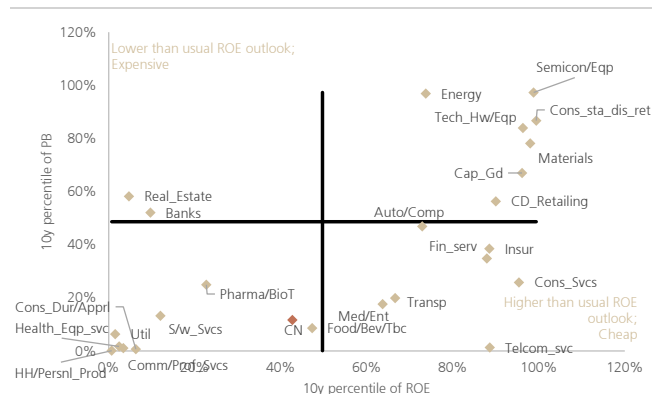
Sector screens

Figure 69: Sectoral composition



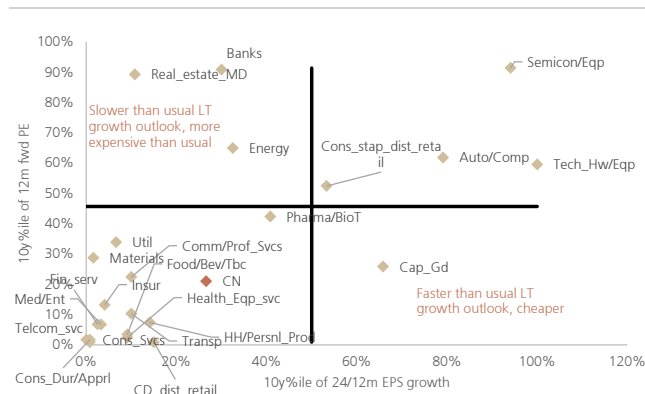
Source: MSCI, Datastream, UBS

Figure 70: Telecom, internet, staples and insurance today offer stronger ROEs and lower than usual valuation levels.



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 71: Cap goods sector seems undervalued on growth vs valuation matrix, while banks, real estate and energy appear overvalued.



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index weighted methodology ([video link](#)).

Figure 72: China sectors performance and valuation (consensus)

Market-sector	Performance				12m fwd PE			EPS growth (y/y)		12m fwd PB			ROE		12m fwd dividend yield	
	YTD 2026	1m	6m	2025	Latest	10y Avg	PE yoy change	2026	2027	Latest	10y Avg	PB yoy change	Latest	10y Avg	Latest	10y Avg
China	-7.5%	2.4%	-6.2%	31.4%	16.0	19.6	-6%	17%	16%	2.3	3.2	-22%	15%	15%	2.7%	2.5%
Med/Ent	-24.4%	-0.1%	-13.2%	45.5%	18.1	26.9	-16%	9%	7%	1.8	2.5	-31%	12%	12%	1.5%	1.0%
CD_Retailing	-19.2%	-0.1%	-17.8%	48.8%	12.0	25.2	-54%	31%	37%	4.0	4.8	-67%	34%	20%	3.2%	2.6%
Banks	15.3%	0.7%	15.4%	27.9%	6.0	5.1	0%	6%	5%	0.6	0.6	4%	9%	11%	5.2%	6.4%
Tech_Hw/Eqp	6.1%	8.3%	12.2%	23.9%	21.5	20.6	-4%	14%	28%	4.1	3.3	-9%	21%	16%	1.0%	1.6%
Materials	0.6%	15.4%	-17.2%	120.1%	12.1	16.2	-18%	43%	10%	2.5	2.0	6%	22%	15%	3.8%	3.0%
Pharma/BioT	22.3%	16.8%	14.8%	59.6%	38.5	40.5	-14%	25%	28%	4.7	6.4	-26%	13%	15%	0.8%	0.6%
Insur	-5.3%	0.8%	-9.3%	58.1%	5.3	8.1	-27%	6%	-1%	0.8	1.1	-20%	16%	14%	5.4%	4.6%
Cons_Svcs	-22.3%	-5.0%	-10.2%	-14.6%	14.0	29.1	-14%	-4%	15%	3.3	4.8	-1%	23%	17%	3.2%	1.1%
Auto/Comp	-15.8%	-1.6%	-12.2%	9.6%	24.3	29.2	11%	11%	19%	3.2	3.4	-28%	16%	14%	1.9%	1.4%
Cap_Gd	3.1%	1.2%	-7.2%	31.4%	16.3	20.1	-5%	26%	20%	3.0	2.8	-9%	17%	14%	3.4%	2.8%
Energy	23.7%	7.9%	4.7%	24.0%	10.6	10.5	2%	23%	-2%	1.3	0.8	24%	11%	10%	5.6%	6.1%
Semicon/Eqp	33.9%	-1.9%	14.9%	49.4%	68.3	44.9	20%	36%	37%	10.0	5.6	29%	17%	12%	0.3%	0.8%
Food/Bev/Tbc	-7.4%	-1.1%	-9.5%	2.7%	15.8	25.4	-19%	14%	12%	3.9	5.9	-23%	23%	23%	4.7%	2.5%
Fin_serv	-4.2%	3.8%	-1.4%	17.0%	10.6	14.6	-39%	29%	7%	1.5	1.6	-29%	11%	10%	4.1%	3.2%
Util	-0.7%	1.1%	-4.9%	5.4%	11.0	11.3	-2%	-1%	7%	1.1	1.4	-10%	10%	12%	5.1%	4.6%
Cons_Dur/Apprl	-10.1%	-0.6%	-16.4%	5.1%	10.6	18.8	-19%	4%	10%	1.9	4.1	-30%	18%	21%	5.7%	3.1%
Transp	2.4%	-3.7%	-3.5%	13.4%	13.0	19.1	-4%	12%	2%	1.3	1.7	-17%	11%	10%	3.1%	2.3%
SW_Svcs	-30.8%	6.0%	-32.4%	28.2%	48.8	61.6	-42%	19%	1%	3.3	5.5	-51%	7%	11%	0.2%	0.3%
Health_Eqp_svc	-16.0%	-0.8%	-18.0%	-5.8%	15.2	23.1	-21%	9%	13%	2.3	4.5	-28%	14%	17%	3.5%	2.4%
Cons_sta_dis_ret	-34.2%	-2.8%	-36.7%	74.6%	41.1	49.5	-59%	16%	20%	8.0	4.2	-28%	20%	9%	0.6%	1.4%
Comm/Prof_Svcs	-13.2%	11.8%	7.9%	7.0%	11.1	18.4	19%	36%	-3%	1.7	3.9	-9%	16%	22%	NA	1.5%
Telcom_svc	-17.5%	-5.8%	-14.3%	6.9%	10.1	24.7	-23%	18%	6%	0.6	1.0	-29%	7%	5%	7.0%	3.3%
HH/Persn_Prod	-17.4%	-8.4%	-17.8%	-6.2%	10.5	14.3	-28%	-2%	6%	1.5	3.3	-50%	14%	21%	6.3%	4.6%

Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#)).

Figure 73: EM/APAC markets performance and valuation (consensus)

	Performance (US\$)					12m fwd P/E (x)			EPS growth (%)			12m fwd P/B (x)			12m fwd ROE		12m fwd dividend yield	
	YTD 2026	1m	3m	2025	2024	Latest	yoy change	10y avg	2026E	2027E	2028E	Latest	yoy change	10y avg	Latest	10y avg	Latest	10y avg
Taiwan	65.4%	13.3%	6%	40%	35%	20.5	8%	17.2	41.6	31.8	25.9	6.6	43%	3.9	32%	22%	2.0%	3.4%
Korea	90.5%	20.4%	-9%	101%	-23%	9.3	-29%	12.6	42.6	37.6	5.2	2.2	42%	1.5	35%	14%	2.0%	2.1%
China	-7.5%	2.4%	2%	31%	20%	16.0	-6%	19.6	11.5	15.4	19.1	2.3	-22%	3.2	15%	15%	2.7%	2.5%
Australia*	16.6%	4.0%	7%	15%	1%	21.3	-10%	19.2	15.4	7.4	6.6	3.9	5%	3.0	18%	16%	3.6%	4.4%
India	-8.4%	1.9%	2%	4%	12%	28.5	-7%	27.1	14.6	18.6	15.2	5.3	-9%	4.8	19%	18%	1.5%	1.4%
Brazil	13.4%	-1.4%	0%	50%	-29%	10.1	1%	13.2	25.1	8.6	12.8	2.2	-1%	2.2	22%	18%	7.2%	5.1%
Singapore*	26.3%	5.9%	20%	32%	32%	19.2	5%	13.9	5.4	13.5	10.0	3.0	7%	2.6	15%	12%	3.6%	4.3%
Hong Kong*	9.4%	1.0%	2%	35%	0%	16.2	-2%	17.3	17.3	3.5	8.4	2.8	-8%	2.7	15%	14%	3.9%	3.7%
South Africa	8.2%	16.7%	6%	79%	7%	10.9	-7%	12.9	22.3	9.6	8.3	2.8	12%	2.3	25%	18%	4.6%	3.7%
Saudi Arabia	12.1%	7.0%	4%	-5%	1%	16.1	-9%	18.5	11.1	10.8	7.7	2.8	-3%	2.9	18%	17%	4.4%	3.8%
Mexico	13.1%	-0.1%	-1%	57%	-27%	13.4	3%	14.4	16.0	6.1	6.0	3.1	8%	2.7	23%	19%	4.4%	4.1%
UAE	5.1%	3.7%	8%	27%	20%	10.5	-8%	10.9	-3.2	9.2	13.6	2.3	-8%	1.9	20%	16%	5.1%	5.0%
Poland	26.9%	8.9%	10%	76%	-6%	12.4	-8%	13.3	10.4	15.0	1.4	2.6	24%	1.9	20%	14%	4.2%	4.1%
Malaysia	6.6%	2.6%	2%	15%	21%	15.5	4%	15.1	3.3	6.1	4.8	1.7	4%	1.9	11%	12%	4.6%	4.2%
Thailand	23.4%	-1.2%	-3%	7%	2%	28.6	-1%	26.1	13.4	12.5	12.5	7.5	20%	5.0	24%	18%	3.5%	3.1%
Kuwait	0.3%	1.7%	2%	23%	10%	18.1	-6%	17.6	1.1	9.3	18.1	2.0	-6%	1.9	11%	11%	3.4%	3.4%
Vietnam	6.3%	10.5%	1%	67%	-6%	33.2	40%	25.1	5.1	11.9	-2.4	3.3	30%	2.9	14%	15%	1.3%	1.3%
Indonesia	-31.7%	6.7%	4%	-2%	-12%	12.0	-2%	15.2	-5.5	9.3	10.2	1.9	-20%	2.6	17%	17%	7.2%	3.7%
Qatar	-6.2%	-1.3%	-6%	8%	6%	10.3	-13%	12.0	-4.7	16.0	6.6	1.3	-18%	1.7	13%	14%	5.4%	4.3%
Chile	4.7%	6.0%	1%	74%	-6%	15.5	27%	16.0	9.2	8.5	8.0	2.6	49%	2.8	16%	14%	2.7%	3.4%
Peru	40.5%	5.3%	8%	74%	16%	17.6	24%	14.1	29.4	4.2	3.7	5.6	55%	3.1	27%	20%	3.4%	3.6%
Turkey	25.9%	8.0%	9%	-2%	18%	11.7	16%	9.1	36.3	30.3	24.8	1.6	13%	2.1	15%	22%	3.6%	4.5%
Hungary	45.7%	4.7%	12%	79%	14%	8.9	28%	8.4	17.4	8.7	6.1	1.6	34%	1.2	18%	15%	3.3%	3.7%
Philippines	0.3%	-8.1%	3%	1%	0%	14.4	13%	16.4	3.6	12.3	10.6	4.8	12%	3.5	25%	21%	3.5%	2.7%
Colombia	52.0%	4.6%	32%	116%	10%	9.6	23%	9.6	30.8	5.8	3.6	1.7	48%	1.1	18%	13%	5.5%	5.2%
Czech Republic	6.8%	5.5%	13%	74%	7%	18.0	6%	14.0	13.1	-1.6	-5.1	2.6	11%	1.6	15%	12%	5.0%	6.3%
Egypt	25.7%	-1.2%	7%	55%	-31%	6.7	8%	8.0	0.9	18.5	19.7	1.9	11%	1.9	28%	25%	4.9%	3.7%
EM	24.6%	9.1%	1%	34%	18%	16.8	-4%	17.3	27.0	23.6	15.7	3.9	15%	3.1	25%	17%	2.7%	2.9%
Asia ex Japan	26.5%	9.4%	1%	33%	8%	17.7	-4%	17.8	22.5	16.1	-0.2	4.1	15%	3.2	25%	17%	2.3%	2.7%
Japan*	20.7%	7.7%	5%	25%	9%	19.8	5%	17.1	11.7	16.0	11.1	3.3	28%	2.1	16%	12%	2.1%	2.6%
USA	13.4%	3.9%	2%	18%	25%	25.2	-10%	26.5	24.2	15.9	16.0	8.7	-8%	8.2	39%	35%	1.1%	1.5%
World	13.8%	4.0%	3%	22%	19%	22.5	-7%	23.3	21.5	15.2	14.5	7.0	-4%	6.4	33%	28%	1.8%	2.1%

Source: IBES, MSCI, Datastream, UBS. *Japan is not part of EM; calculated on the basis of index-weighted methodology ([video link](#)).

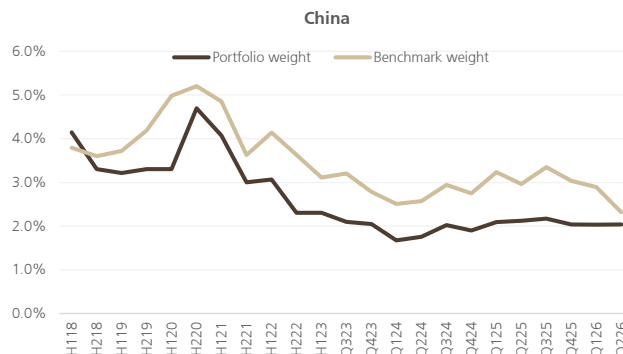
Positioning and flows: A long time underweight for EM and global funds

Figure 74: EM funds portfolio weight vs index weight: Investors have remained underweight China for over 8 years now. Although the level of underweighting has narrowed recently



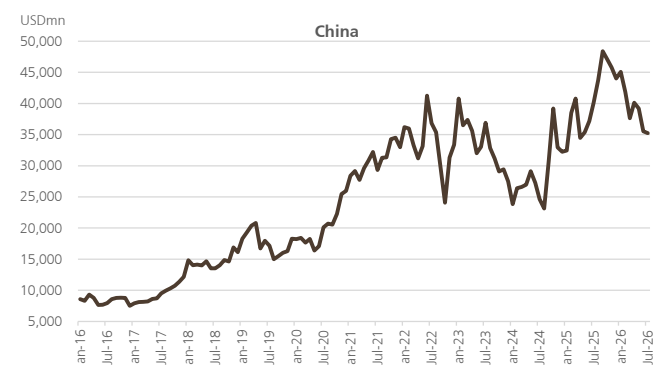
Source: Bloomberg, UBS ([Report link](#)).

Figure 75: ACWI funds portfolio weight vs index weight: Global funds stay underweight, though the level of underweighting has reduced recently



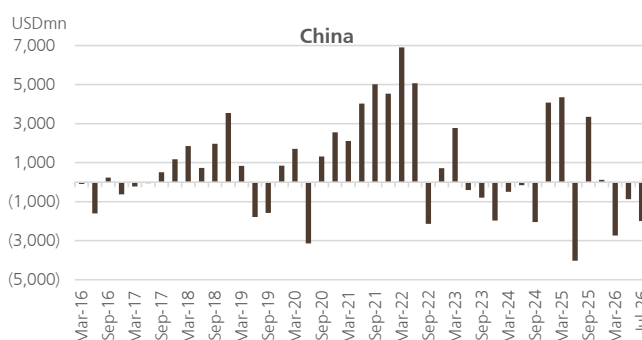
Source: Bloomberg, UBS ([Report link](#)).

Figure 76: China ETFs AUM: Shrunk sharply over the last 9 months



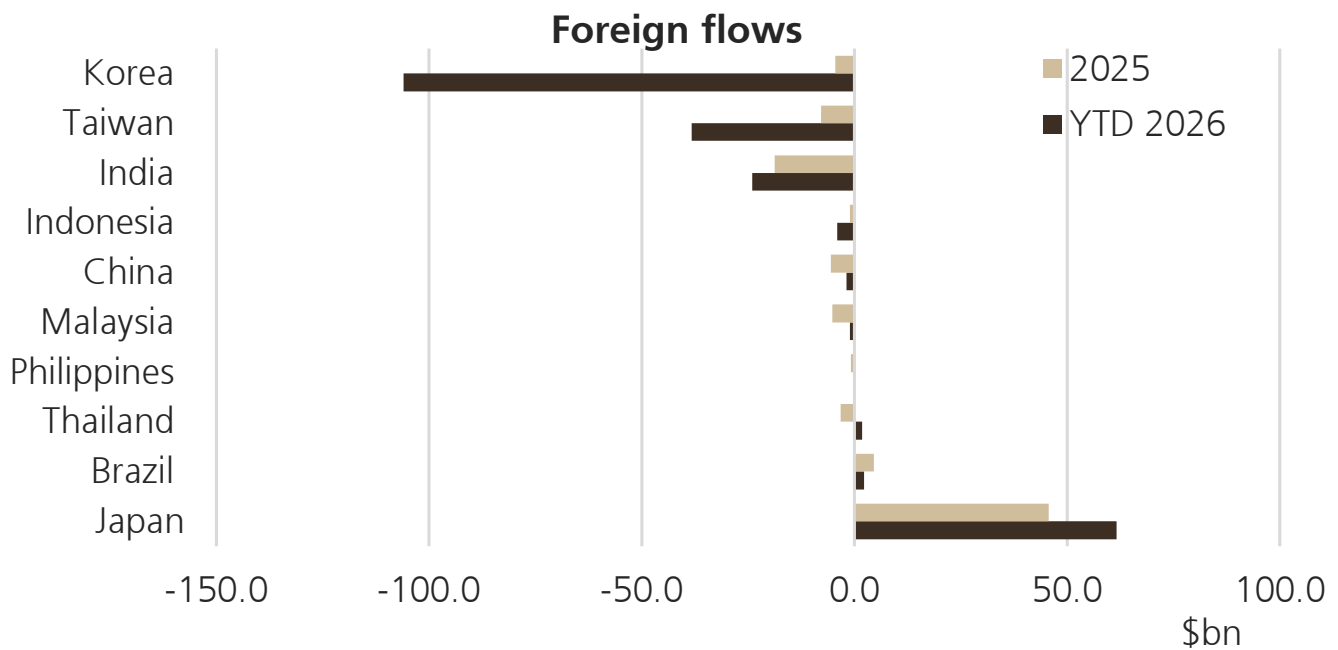
Source: Bloomberg, UBS ([Report link](#)). The chart tracks AUM of ETFs domiciled outside China but following MSCI China.

Figure 77: ETFs flows: Sharply negative YTD for China



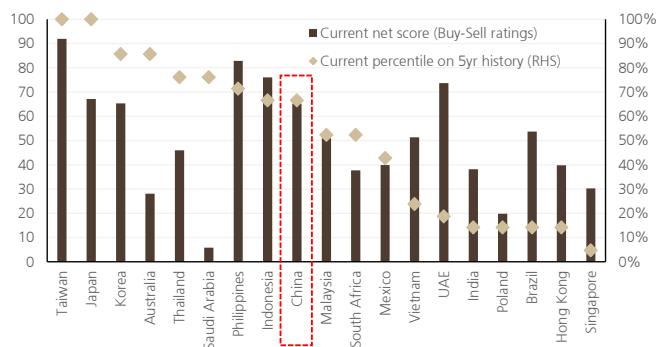
Source: Bloomberg, UBS ([Report link](#)).

Figure 78: Small negative flows for China - a much more benign behaviour compared to Korea and Taiwan.



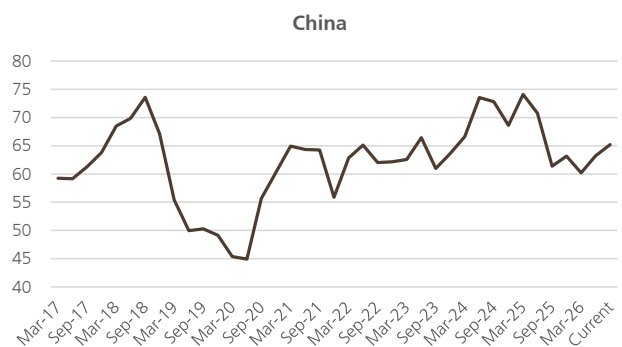
Source: Bloomberg, UBS. Note: China data is until 1Q26

Figure 79: UBS analysts' bottom-up views: Slightly more BUY ratings today than in the past (70th percentile on this chart)



Source: UBS

Figure 80: UBS analysts' bottom-up views: Buy vs Sell ratings relative to history for China

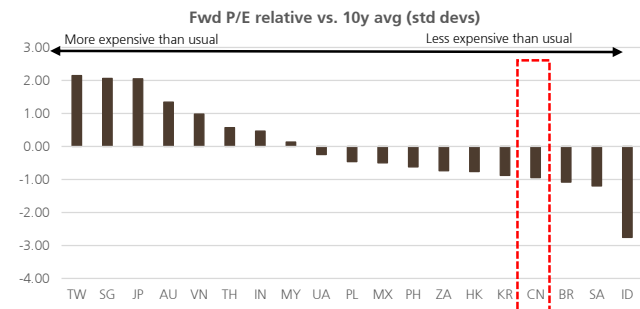


Source: UBS

Equity fundamentals and valuations

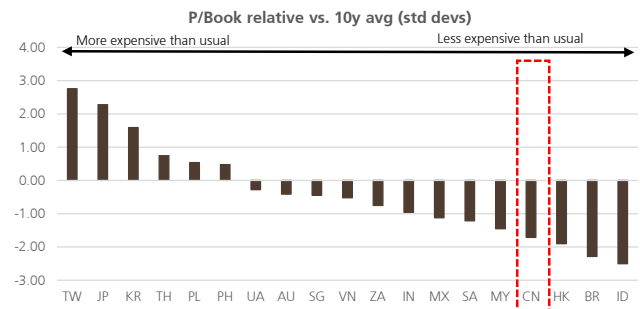
Here we look at a combination of relative valuation and fundamental (growth/ROE) parameters. The idea is not to punish a market just because it is expensive today, but to punish a market in the scorecard if it is more expensive than usual in return for growth or ROE less exciting than usual. For valuations, we look at PE, PB, spread vs local bonds (to bring in the valuation perspective of the domestic investor) and our proprietary perception premium (see [video](#)).

Figure 81: 12m fwd PE



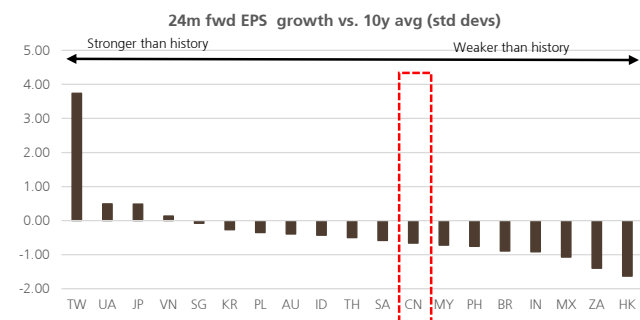
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#)).

Figure 82: 12m fwd PB



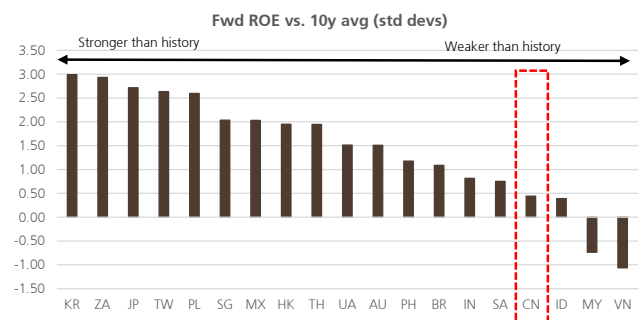
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#)).

Figure 83: 24m fwd EPS growth (= 24M EPS / 12M EPS - 1, expressed as deviation from long-term trend)



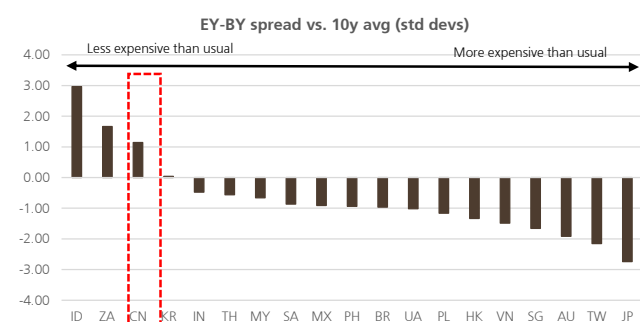
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#)).

Figure 84: 12m fwd ROE



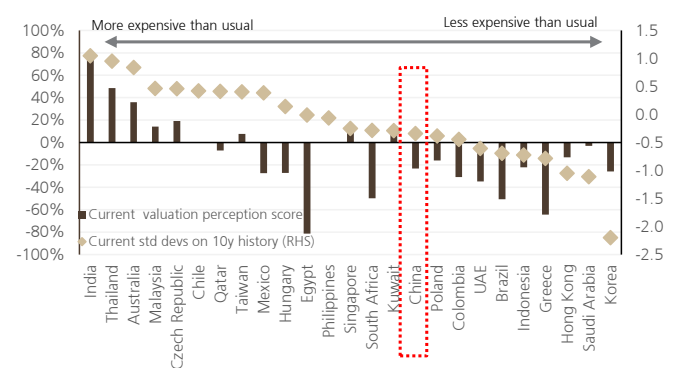
Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#)).

Figure 85: Equity risk premium proxy: Equity valuations have not gone up commensurate with lower bond yields in China



Source: IBES, MSCI, Datastream, UBS. Note: calculated on the basis of index-weighted methodology ([video link](#)).

Figure 86: Market perception premia: China discount is in-line with history



Source: IBES, MSCI, Datastream, UBS. [Report link](#).

Figure 87: MSCI China stocks with 20%+EPS CAGR over 2026/2027 (with market cap above \$12bn)

RIC	Company Name	Sector	M cap (USD Mn)	UBS Rating	Price (Lcy)	Price target (Lcy)	Upside/Downside	PE (Consensus)		PB (Consensus)		ROE (Consensus)		EPS Consensus CAGR 2026/2027
								Latest	10y Avg	Latest	10y Avg	Latest	10y Avg	
9988.HK	ALIBABA GRP HLDG (HK)	CONSUMER DISCRETIONARY	288,893	Buy	114.2	200.0	75%	14.9	14.8	1.5	2.2	10.3%	15.0%	40%
300750.SZ	CONTEMPORARY AMP A(HK-C)	INDUSTRIALS	241,722	Buy	363.6	600.0	65%	15.2	38.7	3.8	6.4	25.0%	16.4%	28%
300308.SZ	ZHONGJI INNO A(HK-C)	INFORMATION TECHNOLOGY	142,440	Buy	851.9	1,500.0	76%	17.9	29.1	9.0	5.6	50.5%	19.1%	50%
601899.SS	ZIJIN MINING A (HK-C)	MATERIALS	106,221	Buy	33.7	52.0	54%	10.7	15.7	3.2	2.5	30.3%	15.8%	33%
688256.SS	CAMBRICON TECH A (HK-C)	INFORMATION TECHNOLOGY	97,937	Not Rated	1,046.6	NA	NA	68.2	444.0	26.8	21.0	39.2%	4.7%	50%
688041.SS	HYGON INFO TECH A (HK-C)	INFORMATION TECHNOLOGY	84,906	Not Rated	245.5	NA	NA	92.1	98.6	18.8	12.5	20.4%	12.7%	50%
300502.SZ	EOPTOLINK TECH A (HK-C)	INFORMATION TECHNOLOGY	82,779	Not Rated	399.0	NA	NA	16.2	30.7	8.4	6.5	51.7%	21.1%	50%
600028.SS	CHINA PETRO & CH A(HK-C)	ENERGY	78,924	Buy	5.5	7.4	36%	14.6	11.1	0.8	0.8	5.3%	7.3%	21%
002371.SZ	NAURA TECH GRP A (HK-C)	INFORMATION TECHNOLOGY	75,319	Buy	699.8	800.0	14%	51.4	67.2	9.8	7.8	19.0%	11.6%	42%
002594.SZ	BYD CO A (HK-C)	CONSUMER DISCRETIONARY	74,645	Buy	88.2	136.0	54%	17.3	41.5	2.7	4.3	15.8%	10.5%	29%
002475.SZ	LUXSHARE PREC A (HK-C)	INFORMATION TECHNOLOGY	61,833	Buy	57.6	94.0	63%	16.7	23.2	3.3	4.9	19.7%	21.3%	27%
2259.HK	ZIJIN GOLD INTL	MATERIALS	55,029	Buy (CBE)	152.0	203.0	34%	16.3	16.6	4.4	4.9	27.0%	29.6%	27%
600183.SS	SHENGYI TECH A (HK-C)	INFORMATION TECHNOLOGY	52,643	Buy	153.4	192.0	25%	36.3	22.2	13.7	4.3	37.8%	19.4%	50%
688012.SS	ADV MICRO-FABRIC A(HK-C)	INFORMATION TECHNOLOGY	52,307	Buy	362.0	403.0	11%	65.3	106.4	10.4	9.6	16.0%	9.1%	50%
600030.SS	CITIC SECURITIES A(HK-C)	FINANCIALS	50,705	Buy	27.8	38.8	40%	10.0	15.0	1.2	1.4	11.9%	9.2%	24%
603993.SS	CMOC GROUP A (HK-C)	MATERIALS	50,690	Buy	19.1	31.0	63%	12.4	23.9	3.5	2.5	27.9%	10.6%	29%
0267.HK	CITIC	INDUSTRIALS	47,903	Not Rated	12.9	NA	NA	4.9	4.7	0.4	0.4	7.7%	8.5%	27%
0992.HK	LENOVO GROUP	INFORMATION TECHNOLOGY	47,404	Buy	30.0	42.0	40%	12.5	10.2	4.4	2.0	35.1%	19.2%	34%
1211.HK	BYD CO H	CONSUMER DISCRETIONARY	43,201	Buy	87.2	135.0	55%	15.4	35.2	2.5	3.6	16.3%	10.1%	25%
300394.SZ	SUZHOU TFC A (HK-C)	INFORMATION TECHNOLOGY	42,783	Not Rated	263.6	NA	NA	56.8	33.0	25.1	7.9	44.2%	23.9%	50%
000858.SZ	WULIANGYE YIBIN A (HK-C)	CONSUMER STAPLES	41,303	Neutral	71.3	85.0	19%	14.6	22.0	2.1	4.8	14.2%	22.0%	30%
6160.HK	BEONE MEDICINES (HK)	HEALTH CARE	40,851	Not Rated	224.4	NA	NA	37.7	66.2	5.8	6.0	15.3%	9.0%	50%
9618.HK	JD.COM (HK)	CONSUMER DISCRETIONARY	40,382	Buy	112.2	187.0	67%	7.4	15.4	0.9	2.1	12.2%	13.4%	39%
600150.SS	CHINA CSSC HLDG A (HK-C)	INDUSTRIALS	38,947	Buy	34.1	52.0	53%	10.9	90.6	1.5	2.1	13.7%	2.4%	41%
002916.SZ	SHENNAN CIRCUITS A(HK-C)	INFORMATION TECHNOLOGY	36,732	Buy	369.1	473.0	28%	34.3	28.6	9.2	5.5	26.7%	19.2%	50%
600309.SS	WANHUA CHEM GRP A (HK-C)	MATERIALS	36,352	Buy	76.3	126.0	65%	12.6	12.7	1.9	2.9	15.0%	22.5%	31%
688008.SS	MONTAGE TECH A (HK-C)	INFORMATION TECHNOLOGY	36,283	Not Rated	213.0	NA	NA	52.3	51.7	12.2	8.3	23.4%	16.0%	50%
002379.SZ	SHANDONG HONGQIA A(HK-C)	MATERIALS	35,872	Not Rated	18.5	NA	NA	7.8	10.1	2.4	3.9	31.1%	38.7%	22%
002463.SZ	WUS PRINTED A (HK-C)	INFORMATION TECHNOLOGY	34,848	Not Rated	121.7	NA	NA	27.8	22.2	9.1	4.4	32.7%	20.0%	50%
000725.SZ	BOE TECH GROUP A (HK-C)	INFORMATION TECHNOLOGY	32,022	Not Rated	5.9	NA	NA	21.5	18.2	1.5	1.3	7.1%	7.2%	41%
300408.SZ	CHAOZHOU THREE A (HK-C)	INFORMATION TECHNOLOGY	32,008	Buy	115.0	180.0	57%	47.0	25.7	7.6	4.2	16.1%	16.4%	41%
300476.SZ	VICTORY GIANT A (HK-C)	INFORMATION TECHNOLOGY	31,368	Not Rated	241.6	NA	NA	16.8	20.7	4.7	4.2	28.0%	20.4%	50%
002938.SZ	AVARY HOLDING A (HK-C)	INFORMATION TECHNOLOGY	30,754	Buy	93.3	130.0	39%	28.4	19.7	4.7	3.0	16.7%	15.2%	44%
2899.HK	ZIJIN MINING GROUP H	MATERIALS	29,242	Buy	36.6	57.8	58%	10.1	12.8	3.0	2.2	29.6%	17.2%	32%
688072.SS	PIOTECH A (HK-C)	INFORMATION TECHNOLOGY	28,949	Not Rated	669.3	NA	NA	75.6	64.4	19.8	9.3	26.2%	14.5%	50%
688498.SS	YUANJIE SEMICON A (HK-C)	INFORMATION TECHNOLOGY	28,499	Not Rated	1,538.4	NA	NA	160.7	108.1	48.8	13.1	30.4%	12.1%	50%
9888.HK	BAIDU (HK)	COMMUNICATION SERVICES	28,378	Buy	96.2	155.0	61%	13.6	12.6	0.7	1.0	5.4%	8.1%	30%
300433.SZ	LENS TECHNOLOGY A (HK-C)	INFORMATION TECHNOLOGY	28,313	Buy	38.9	65.0	67%	34.1	20.1	3.2	2.5	9.4%	12.4%	29%
000338.SZ	WEICHAI POWER A (HK-C)	INDUSTRIALS	27,544	Neutral	27.2	28.5	5%	14.1	12.0	2.3	1.6	16.0%	13.7%	28%
2269.HK	WUXI BIOLOGICS	HEALTH CARE	26,779	Buy (UR)	48.8	51.1	5%	25.9	61.1	2.9	7.2	11.4%	11.8%	20%
600989.SS	NINGXIA BAOFENG A HK-C	MATERIALS	26,724	Buy	24.7	40.0	62%	10.0	12.2	2.6	2.6	25.7%	21.3%	27%
300604.SZ	HANGZHOU CHANG A (HK-C)	INFORMATION TECHNOLOGY	26,620	Buy	279.0	310.0	11%	66.4	49.6	20.5	9.4	30.9%	18.9%	48%
300033.SZ	HITHINK ROYAL A (HK-C)	FINANCIALS	25,814	Sell	229.2	97.0	-58%	34.7	37.4	15.6	10.0	44.9%	26.8%	26%
600176.SS	CHINA JUSHI CO A (HK-C)	MATERIALS	25,733	Buy	43.9	58.0	32%	20.1	14.3	4.2	2.2	21.1%	15.3%	45%
601869.SS	YANGTZE OPTICAL A (HK-C)	INFORMATION TECHNOLOGY	25,537	Neutral	418.6	310.0	-26%	32.2	26.8	12.0	3.4	37.4%	12.7%	48%
600487.SS	HENGTONG OPTIC A (HK-C)	INFORMATION TECHNOLOGY	25,213	Not Rated	68.7	NA	NA	21.2	14.1	3.8	2.1	18.0%	14.9%	34%
300124.SZ	SHENZHEN INNOVANC A(HK-C)	INDUSTRIALS	25,000	Buy	61.9	86.0	39%	24.4	33.2	3.8	6.7	15.7%	20.3%	21%
0175.HK	GEELY AUTOMOBILE HLDGS	CONSUMER DISCRETIONARY	24,873	Buy	17.6	28.0	59%	6.9	12.2	1.4	2.0	20.2%	16.0%	21%
601066.SS	CSC FINANCIAL A (HK-C)	FINANCIALS	24,724	Sell	25.6	20.3	-21%	15.7	24.9	1.6	2.6	10.1%	10.4%	26%
600031.SS	SANY HEAVY IND A (HK-C)	INDUSTRIALS	24,085	Buy	20.0	23.2	16%	14.1	17.9	1.8	2.2	12.8%	12.6%	23%
1801.HK	INNOVENT BIOLOGICS	HEALTH CARE	23,912	Buy	103.8	135.3	30%	51.5	132.2	6.1	8.7	11.8%	6.6%	50%
000657.SZ	CHINA TUNGSTEN A (HK-C)	MATERIALS	22,635	Not Rated	66.8	NA	NA	29.0	80.2	10.4	3.7	36.0%	4.7%	28%
002493.SZ	RONGSHENG PETRO A (HK-C)	MATERIALS	21,628	Not Rated	14.6	NA	NA	16.9	16.1	2.9	2.5	16.9%	15.5%	27%
002281.SZ	ACCELINK TECH A (HK-C)	INFORMATION TECHNOLOGY	21,386	Not Rated	173.6	NA	NA	64.1	33.6	10.8	4.0	16.9%	12.1%	50%
688082.SS	ACM RESEARCH A (HK-C)	INFORMATION TECHNOLOGY	21,267	Buy	301.7	375.0	24%	64.9	48.4	8.6	6.2	13.3%	12.8%	35%

Source: Datastream, UBS, CBE: Core banding exceptions.Note: data as on 31st August 2026.

Figure 88: MSCI China stocks with 20%+EPS CAGR over 2026/2027 (with market cap above \$12bn) (Contd...)

RIC	Company Name	Sector	M cap (USD Mn)	UBS Rating	Price (Lcy)	Price target (Lcy)	Upside/Downside	Latest	10y Avg	Latest	10y Avg	Latest	10y Avg	EPS Consensus CAGR 2026/2027
601688.SS	HUATAI SEC CO A (HK-C)	FINANCIALS	21,106	Buy	19.4	28.4	46%	8.3	12.8	0.8	1.1	9.8%	8.4%	22%
600346.SS	HENGU PETROCHEM A(HK-C)	MATERIALS	20,592	Buy	19.4	28.0	45%	11.9	38.1	1.7	2.2	14.7%	5.7%	29%
1347.HK	HUA HONG GRACE SC	INFORMATION TECHNOLOGY	20,459	Neutral	123.0	148.0	20%	95.0	29.4	3.7	1.5	3.9%	5.0%	48%
600188.SS	YANKUANG ENERGY A (HK-C)	ENERGY	20,420	Not Rated	23.0	NA	NA	14.8	10.0	2.0	1.3	13.8%	13.4%	20%
601100.SS	JIANGSU HENGU A (HK-C)	INDUSTRIALS	20,223	Buy	102.5	128.0	25%	34.9	32.7	6.3	5.9	18.1%	18.2%	26%
2423.HK	KE HOLDINGS(HK)	REAL ESTATE	19,991	Buy	46.4	66.0	42%	14.9	20.0	1.6	1.8	10.8%	9.0%	35%
600584.SS	JCET GROUP CO A (HK-C)	INFORMATION TECHNOLOGY	19,951	Buy	75.8	135.0	78%	46.9	34.1	4.1	2.6	8.7%	7.5%	49%
002353.SZ	YANTAI JEREH OIL A(HK-C)	ENERGY	19,946	Buy	130.3	200.0	54%	22.7	20.6	4.5	2.2	19.7%	10.8%	38%
600489.SS	ZHONGJIN GOLD A (HK-C)	MATERIALS	19,244	Not Rated	26.7	NA	NA	10.9	38.5	3.0	2.2	27.8%	5.8%	33%
688120.SS	HWATSING TECH A (HK-C)	INFORMATION TECHNOLOGY	19,239	Not Rated	260.5	NA	NA	69.6	36.9	11.8	5.8	16.9%	15.7%	31%
688361.SS	SKYYVERSE TECH A (HK-C)	INFORMATION TECHNOLOGY	18,998	Not Rated	362.7	NA	NA	228.1	145.3	21.5	11.5	9.4%	7.9%	50%
000776.SZ	GF SECURITIES A (HK-C)	FINANCIALS	18,827	Not Rated	21.4	NA	NA	8.9	12.3	1.0	1.1	10.9%	9.0%	25%
004008.SZ	ZANGGE MINING A (HK-C)	MATERIALS	18,443	Not Rated	79.0	NA	NA	15.1	13.4	5.0	3.0	33.5%	22.7%	37%
1888.HK	KINGBRO LAMMITS HLDG (CN)	INFORMATION TECHNOLOGY	18,153	Buy	46.4	66.0	42%	12.9	9.4	7.8	2.1	60.8%	22.3%	50%
600522.SS	JIANGSU ZHONG TE A(HK-C)	INDUSTRIALS	17,795	Not Rated	35.0	NA	NA	13.9	12.6	2.5	1.6	18.3%	12.7%	48%
300014.SZ	EVE ENERGY A (HK-C)	INDUSTRIALS	17,566	Neutral	52.8	75.8	44%	13.1	27.1	2.1	5.2	16.1%	19.3%	43%
605117.SS	NINGBO DEYE TECH A(HK-C)	INDUSTRIALS	17,487	Not Rated	92.3	NA	NA	17.8	25.6	6.8	8.0	38.4%	31.5%	36%
3750.HK	CONTEMPORARY H	INDUSTRIALS	17,166	Buy	599.5	820.0	37%	21.9	23.8	5.5	5.8	24.9%	24.5%	29%
000977.SZ	INSUR ELECTRS A (HK-C)	INFORMATION TECHNOLOGY	16,921	Not Rated	77.4	NA	NA	27.5	25.5	4.1	3.3	15.0%	12.9%	34%
688111.SS	BEIJING KINGSOFT A(HK-C)	INFORMATION TECHNOLOGY	16,661	Neutral	249.7	263.0	5%	40.0	85.1	6.8	13.2	17.0%	15.6%	21%
603296.SS	HUAQIN TECH A (HK-C)	INFORMATION TECHNOLOGY	16,541	Not Rated	78.2	NA	NA	17.9	18.1	3.3	2.7	18.4%	15.1%	28%
688183.SS	SHENGYI ELECTS A (HK-C)	INFORMATION TECHNOLOGY	16,352	Not Rated	131.2	NA	NA	32.1	29.6	10.1	5.0	31.3%	17.0%	47%
600160.SS	ZHEJIANG JUHUA A (HK-C)	MATERIALS	16,286	Not Rated	40.5	NA	NA	16.5	21.5	4.0	2.4	24.3%	11.0%	35%
688525.SS	BIWIN STORAGE A (HK-C)	INFORMATION TECHNOLOGY	16,204	Not Rated	230.9	NA	NA	10.5	54.9	5.6	11.7	53.4%	21.3%	30%
600905.SS	CHINA THREE GOR A (HK-C)	UTILITIES	15,824	Not Rated	3.7	NA	NA	20.4	17.5	1.1	1.7	5.4%	9.9%	25%
1208.HK	MMG	MATERIALS	15,567	Not Rated	9.5	NA	NA	8.9	13.0	2.3	3.5	25.8%	26.9%	26%
601888.SS	CHINA TOURISM A (HK-C)	CONSUMER DISCRETIONARY	15,500	Buy	52.5	77.6	48%	20.8	30.1	1.8	6.3	8.7%	20.8%	28%
000988.SZ	HUAGONG TECH A (HK-C)	INFORMATION TECHNOLOGY	15,400	Not Rated	102.9	NA	NA	41.4	30.5	7.0	3.4	16.9%	11.2%	35%
000100.SZ	TCL TECHNOLOGY A (HK-C)	INFORMATION TECHNOLOGY	15,352	Buy	5.1	5.6	10%	12.5	12.1	1.5	1.5	12.3%	12.6%	46%
002602.SZ	ZHEJIANG CENTURY A(HK-C)	COMMUNICATION SERVICES	15,322	Not Rated	14.0	NA	NA	10.2	19.2	2.3	2.3	22.4%	11.8%	35%
000938.SZ	UNISPLENDOR CO A (HK-C)	INFORMATION TECHNOLOGY	15,274	Not Rated	35.9	NA	NA	33.3	27.5	5.7	3.0	17.0%	11.1%	37%
600362.SS	JIANGXI COPPER A (HK-C)	MATERIALS	15,134	Not Rated	49.0	NA	NA	13.0	18.2	1.8	1.1	13.8%	6.1%	20%
601995.SS	CHINA INTL CPTL A (HK-C)	FINANCIALS	15,100	Buy	34.7	48.2	39%	12.2	21.4	1.2	2.0	9.8%	9.4%	29%
688347.SS	HUA HONG GRACE A (HK-C)	INFORMATION TECHNOLOGY	15,048	Not Rated	248.0	NA	NA	263.6	102.5	8.7	3.2	3.3%	3.2%	47%
3808.HK	SINOTRUK (HONG KONG)	INDUSTRIALS	14,756	Buy	40.2	56.0	39%	10.8	9.1	1.8	1.1	17.0%	11.6%	23%
0386.HK	CHINA PETRO & CHEM H	ENERGY	14,455	Buy	4.8	6.4	34%	10.4	8.7	0.6	0.6	5.5%	7.3%	21%
002156.SZ	TONGFU MICROELEC A(HK-C)	INFORMATION TECHNOLOGY	14,396	Not Rated	63.8	NA	NA	51.0	37.1	5.3	2.6	10.4%	7.1%	23%
002230.SZ	IFLYTEK CO A (HK-C)	INFORMATION TECHNOLOGY	14,319	Buy	40.3	55.0	36%	62.8	68.7	4.7	6.4	7.4%	9.3%	35%
002648.SZ	SATELLITE CHEM CO (HK-C)	MATERIALS	14,226	Buy	28.5	38.0	33%	9.2	11.1	2.1	1.9	23.0%	17.3%	26%
000807.SZ	YUNNAN ALUMINIUM A(HK-C)	MATERIALS	14,052	Not Rated	27.2	NA	NA	6.9	12.7	1.9	1.8	28.2%	13.8%	30%
603228.SS	SHENZHEN KINWONG A(HK-C)	INFORMATION TECHNOLOGY	13,989	Not Rated	93.9	NA	NA	24.8	19.7	5.1	3.4	20.4%	17.1%	50%
601168.SS	WESTERN MINING A (HK-C)	MATERIALS	13,872	Not Rated	39.1	NA	NA	12.2	20.8	3.4	1.8	28.1%	8.9%	32%
000301.SZ	JIANGSU EASTERN A (HK-C)	MATERIALS	13,871	Not Rated	14.1	NA	NA	21.2	19.6	2.3	2.2	11.0%	11.1%	47%
000425.SZ	XCMG CONST MACH A (HK-C)	INDUSTRIALS	13,854	Buy	7.9	12.6	60%	9.3	14.4	1.3	1.2	13.7%	8.5%	25%
2099.HK	CHINA GOLD INTL RES (CN)	MATERIALS	13,824	Not Rated	273.4	NA	NA	13.6	11.2	4.0	1.1	29.0%	10.2%	28%
002600.SZ	LINGYI ITECH A (HK-C)	INFORMATION TECHNOLOGY	13,561	Not Rated	12.5	NA	NA	24.5	24.8	2.1	2.3	8.7%	9.1%	25%
000630.SZ	TONGLING NONFER A (HK-C)	MATERIALS	13,488	Not Rated	6.8	NA	NA	8.7	20.7	2.0	1.5	23.3%	7.5%	50%
1177.HK	SINO BIOPHARMACEUTICAL	HEALTH CARE	13,333	Buy	5.5	7.7	41%	19.0	23.6	1.7	3.2	8.8%	13.4%	32%
002460.SZ	GANFENG LITHIUM A (HK-C)	MATERIALS	13,206	Buy	53.9	110.5	105%	15.8	33.0	2.0	5.3	12.9%	16.0%	23%
002080.SZ	SINOMA SCIENCE A (HK-C)	MATERIALS	13,087	Not Rated	52.4	NA	NA	21.8	14.4	3.8	1.9	17.3%	13.4%	46%
688271.SS	SHANGHAI UNITED A (HK-C)	HEALTH CARE	12,945	Buy	104.5	146.0	40%	33.6	46.5	3.4	5.0	10.3%	10.8%	24%
600549.SS	XIAMEN TUNGSTEN A (HK-C)	MATERIALS	12,896	Not Rated	54.6	NA	NA	16.1	28.7	4.1	2.7	25.3%	9.5%	36%
601727.SS	SHANGHAI ELEC A (HK-C)	INDUSTRIALS	12,483	Not Rated	6.7	NA	NA	56.8	41.0	1.8	1.5	3.2%	3.8%	28%
002837.SZ	SHENZHEN ENVI A (HK-C)	INDUSTRIALS	12,254	Buy	68.2	74.0	8%	54.7	35.8	14.9	7.0	27.3%	19.4%	50%

Source: Datastream, UBS, CBE: Core banding exceptions. Note: data as on 31st August 2026.

We would like to thank **Chandan Kishore** and **Ayush Aartani** our research support service professionals, for their assistance in preparing this research report

Valuation Method and Risk Statement

In addition to industry- and company-specific risk, we point out to investors the potential risks inherent in investing in companies with significant assets and business operations in emerging markets. Potential EM-related risks include the volatile nature of the currency, regulatory and sociopolitical risk, and abrupt potential changes in the cost of capital and economic growth outlook. Valuations can also be impacted by 'contagion' from developments in other emerging markets. Each of the above has the potential to significantly impact company/industry performance. Valuation methods across sectors include DCF, SOTP and multiples analysis.

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12-Month Rating	Definition	Coverage ¹	IB Services ²
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS AG Hong Kong Branch: James Wang, Karen Hizon. **UBS Securities India Private Ltd:** Kruti Shah, CFA, Sunil Tirumalai.

Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Alibaba Group ^{2,3,4,5,28,7,6a,6b,16a,16b}	BABA.N	Buy	US\$114.02	31 Aug 2026
BYD Company Limited ^{18,16a}	1211.HK	Buy	HK\$87.20	31 Aug 2026
Baidu ^{4,28,7,6b,16a,16b}	9888.HK	Buy	HK\$96.20	31 Aug 2026
Bank of Jiangsu ⁷	600919.SS	Buy	Rmb12.09	31 Aug 2026
China Construction Bank ^{28,7,18,16a}	0939.HK	Buy	HK\$9.50	31 Aug 2026
China International Capital - H ^{28,7,18}	3908.HK	Buy	HK\$22.54	31 Aug 2026
China National Offshore Oil Corporation ^{28,18,16a}	0883.HK	Buy	HK\$25.30	31 Aug 2026
Contemporary Amperex Technology ^{4,28,18,6b,16a}	300750.SZ	Buy	Rmb363.55	31 Aug 2026
Fuyao Glass ^{28,18}	3606.HK	Buy	HK\$54.95	31 Aug 2026
JCET Group	600584.SS	Buy	Rmb75.75	31 Aug 2026
JD.com ^{4,28,7,6b,16a,16b}	JD.O	Buy	US\$28.24	31 Aug 2026
NAURA Technology Group	002371.SZ	Buy	Rmb699.79	31 Aug 2026
Shengyi Technology	600183.SS	Buy	Rmb153.40	31 Aug 2026
Shenzhen Kedali Industry	002850.SZ	Buy	Rmb176.88	31 Aug 2026
Tencent Holdings ^{28,16a}	0700.HK	Buy	HK\$453.00	31 Aug 2026
Tianshan Aluminum Group	002532.SZ	Buy	Rmb13.21	31 Aug 2026
Zijin Gold ^{,20}	2259.HK	Buy (CBE)	HK\$152.00	31 Aug 2026
Zijin Mining Group - H ^{2,13,4,28,18,6b,16a}	2899.HK	Buy	HK\$36.62	31 Aug 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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- 16b. UBS Securities LLC makes a market in the securities and/or ADRs of this company.
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20. Because this security exhibits higher-than-average volatility, the FSR has been set at 25% above the MRA for a Buy rating, and at -25% below the MRA for a Sell rating (compared with 6/-6% under the normal rating system).
28. UBS holds a long position of 0.5% or more of the listed shares of this company.

Unless otherwise indicated, please refer to the Valuation and Risk sections within the body of this report. For a complete set of disclosure statements associated with the companies discussed in this report, including information on valuation and risk, please contact UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research.

Additional Prices: Accelink Technologies, Rmb179.90 (31 Aug 2026); EVE Energy, Rmb52.76 (31 Aug 2026); Hithink RoyalFlush Information Network, Rmb229.20 (31 Aug 2026); Jereh Oilfield Services, Rmb130.26 (31 Aug 2026); Huatai Securities - A, Rmb19.42 (31 Aug 2026); Ganfeng Lithium - A, Rmb53.89 (31 Aug 2026); WUS Printed Circuit Kunshan, Rmb124.91 (31 Aug 2026); Luxshare Precision Industry, Rmb57.62 (31 Aug 2026); Shenzhen Inovance Technology, Rmb61.87 (31 Aug 2026); Rongsheng Petrochemical, Rmb14.84 (31 Aug 2026); BYD - A, Rmb88.20 (31 Aug 2026); Lingyi Itech (Guangdong), Rmb12.79 (31 Aug 2026); Zhejiang Century Huatong, Rmb14.14 (31 Aug 2026); Jiangsu Hengli Hydraulic, Rmb102.50 (31 Aug 2026); Zhejiang Satellite Chemical, Rmb28.48 (31 Aug 2026); Zhongji Innolight, Rmb851.90 (31 Aug 2026); CMOC, Rmb19.06 (31 Aug 2026); Anhui Yingliu I, Rmb44.28 (31 Aug 2026); Chaozhou Three-Circle, Rmb115.00 (31 Aug 2026); Suzhou TFC Optical Communication Co Ltd, Rmb263 (31 Aug 2026); Lens Technology, Rmb38.93 (31 Aug 2026); Victory Giant Technology Huizhou, Rmb243.14 (31 Aug 2026); Eoptolink Technology Inc, Rmb401.87 (31 Aug 2026); Shenzhen Envicool Technology Co., Ltd, Rmb68.21 (31 Aug 2026); Hangzhou Changchuan Technology, Rmb279.03 (31 Aug 2026); Shennan Circuits, Rmb369.08 (31 Aug 2026); China Securities - A, Rmb25.60 (31 Aug 2026); Yangtze Optical Fibre and Cable - A, Rmb418.57 (31 Aug 2026); Avary Holding Shenzhen, Rmb93.30 (31 Aug 2026); Ningxia Baofeng Energy, Rmb24.72 (31 Aug 2026); Montage Technology, Rmb204.95 (31 Aug 2026); Advanced Micro-Fabrication Equipment, Rmb362.00 (31 Aug 2026); Beijing Kingsoft Office Software, Rmb249.65 (31 Aug 2026); JD.com - H, HK\$112.20 (31 Aug 2026); Cambricon Technologies, Rmb1112.18 (31 Aug 2026); ACM Research (Shanghai), Rmb301.70 (31 Aug 2026); Piotech, Rmb677.86 (31 Aug 2026); Shanghai United Imaging Healthcare, Rmb104.50 (31 Aug 2026); Huaqin Co. - A, Rmb81.60 (31 Aug 2026); Zijin Mining Group - A, Rmb33.67 (31 Aug 2026); KE Holdings, HK\$46.44 (31 Aug 2026); Hygon Information Technology, Rmb253.90 (31 Aug 2026); TCL Tech, Rmb5.09 (31 Aug 2026); iFlytek, Rmb40.30 (31 Aug 2026); Tongfu , Rmb64.56 (31 Aug 2026); CITIC Pacific, HK\$13.17 (31 Aug 2026); BOE Technology Group, Rmb6.01 (31 Aug 2026); China Jushi, Rmb43.93 (31 Aug 2026); China Tourism Group Duty Free Corp, Rmb52.48 (31 Aug 2026); Jiangsu Zhongtian Technology, Rmb35.18 (31 Aug 2026); Yunnan Aluminum Co Ltd, Rmb27.11 (31 Aug 2026); Geely Automobile, HK\$17.60 (31 Aug 2026); China Petroleum & Chemical - A, Rmb5.46 (31 Aug 2026); GF Securities - A, Rmb21.82 (31 Aug 2026); WuXi AppTec, HK\$189.30 (31 Aug 2026); Weichai Power - A, Rmb27.17 (31 Aug 2026); Yanzhou Coal Mining - A, Rmb23.62 (31 Aug 2026); Hengli Petrochemical, Rmb19.35 (31 Aug 2026); Hua Hong Semiconductor, HK\$123.00 (31 Aug 2026); Inspur Electronic Information Industry, Rmb85.18 (31 Aug 2026); Western Mining, Rmb39.4 (31 Aug 2026); Tongling Nonferrous Metals, Rmb6.67 (31 Aug 2026); XCMG Construction Machinery, Rmb7.89 (31 Aug 2026); Contemporary Amperex Technology, HK\$599.50 (31 Aug 2026); China CSSC Holdings, Rmb34.08 (31 Aug 2026); Innovent Biologics, HK\$103.80 (31 Aug 2026); CITIC Securities - A, Rmb27.80 (31 Aug 2026); Alibaba Group, HK\$114.20 (31 Aug 2026); Sino I, HK\$5.45 (31 Aug 2026); Ningbo Deye Technology, Rmb88.04 (31 Aug 2026); Kingboard Laminates, HK\$46.38 (31 Aug 2026); Hwatsing Technology, Rmb260.64 (31 Aug 2026); Zangge Mining, Rmb78.39 (31 Aug 2026); Jiangxi Copper - A, Rmb48.4 (31 Aug 2026); MMG Limited, HK\$9.235 (31 Aug 2026); WuXi Biologics, HK\$48.84 (31 Aug 2026); Shandong Hontron Aluminum Industry, Rmb18.14 (31 Aug 2026); Unisplendour Corporation, Rmb38.95 (31 Aug 2026); Sinotruk (Hong Kong), HK \$40.20 (31 Aug 2026); Jiangsu Eastern Shenghong, Rmb14.6 (31 Aug 2026); Shanghai Electric Group - A, Rmb6.65 (31 Aug 2026); Dongfang Electric Corporation, HK\$20.78 (31 Aug 2026); Zhongjin Gold, Rmb25.62 (31 Aug 2026); Sinoma Science & Technology, Rmb53.35 (31 Aug 2026); Hengtong Optic-Electric, Rmb67.38 (31 Aug 2026); Sinopec - H, HK\$4.79 (31 Aug 2026); Wanhua Chemical Group, Rmb76.32 (31 Aug 2026); Sany Heavy Industry, Rmb20.01 (31 Aug 2026); China Three Gorges Renewables Group, Rmb3.71 (31 Aug 2026); Lenovo Group, HK\$30.04 (31 Aug 2026); Wuliangye Yibin, Rmb71.27 (31 Aug 2026); Zhejiang Juhua, Rmb40.54 (31 Aug 2026); China Tungsten and Hightech Materials Co, Rmb65.8 (31 Aug 2026); China International Capital, Rmb34.73 (31 Aug 2026); BeOne, HK\$215.4 (31 Aug 2026); Source: UBS. All prices as of local market close.

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